1. Lightwave Logic (LWLG)

Full investment review | November 4, 2026 | Framework 8.0 | Nasdaq common shares | U.S. dollar reporting.

Calculated Q4 2027 ceiling: USD 0.14 per share (model value shown to six decimals: 0.140935). Exact forward window: Q4 2027 through Q3 2028. The model combines three conditional operating paths using the owner-selected revenue-to-recurring-EPS method.

Classification: prospective optical-material beneficiary, prototype qualification stage. Analytical Base: 36/60 = 60%, within the framework's below-65 band. Excel Base: 60. No position is recorded in the current portfolio.

Dated market snapshot: November 4 close USD 4.30; latest reported common shares 154.167255 million as of August 14. Their mixed-date product implies an indicative market capitalization of USD 662.919 million. This combines the stated price and share vintages.

Tables use USD millions, million shares and million accepted modulator equivalents unless specified. Reported financials end June 30, 2026. Q3 is a separate current reconstruction because its earnings release is scheduled for November 10. Forecasts run from Q4 2026.

2. What the active valuation assumes

The Q4 2027 ceiling prices Q4 2027 through Q3 2028. The selected $1.50 all-in receipt applies only to accepted modulator-equivalent units in those four quarters; separate engineering fees and the finite license floor complete the revenue bridge. The early production ramp, joint delay probabilities and diluted share base keep the selected near-term revenue small.

Path	Weight	F4 accepted units	F4 revenue	Diluted shares	Ceiling
on time	40%	5.3800	8.7575	159.3977	0.329647
four quarter delay	35%	0.1200	0.6175	159.3977	0.023244
prolonged delay or failure	25%	0.0000	0.1000	159.3977	0.003764

3. A materials and licensing platform approaching customer qualification

Lightwave Logic develops electro-optic polymers that modulate light inside optical interconnects. Its commercial model combines polymer material sales with intellectual-property licensing. The company participates in the component value of an optical system, with revenue tied to the scope of each material or licensing contract.

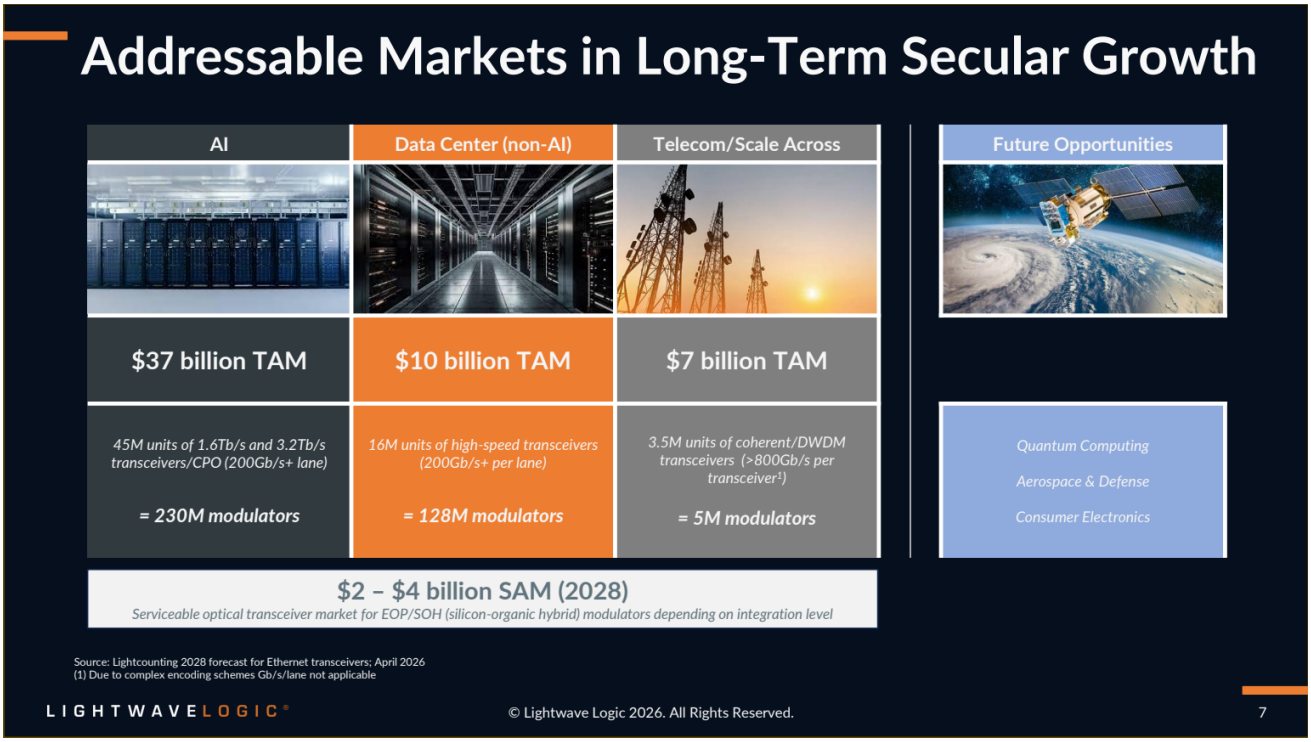
The commercial test is the progression from prototype devices through qualified customer products and accepted production. At its August 11 update, management described five programs in Prototype Stage 3 and targeted volume production in the second half of 2027. The October 29 Hon Hai collaboration adds a named functional transceiver demonstration to that evidence. The remaining work includes integration, testing, qualification and commercial agreements.

4. The optical interconnect cycle and the company revenue bridge

AI infrastructure is increasing the bandwidth, power and packaging demands placed on optical links. Lightwave Logic's August presentation shows a 2028 serviceable market of $2-4 billion for electro-optic-polymer and silicon-organic-hybrid modulators, depending on integration scope. Its unit table contains 230 million AI modulators, 128 million other data-center modulators and 5 million telecom modulators.

Those market volumes establish an outer opportunity boundary. Company revenue requires an explicit allocation to customer programs, successful qualification, accepted production units and the material-plus-IP value captured per unit. Each forecast therefore needs a bridge from the relevant device pool to Lightwave Logic's actual contract scope.

5. Issuer market volumes and scope



Original Lightwave Logic August 2026 presentation, physical page 7. The 363 million 2028 modulator pool is market-wide and spans integration levels; company capture is modeled separately.

6. Analytical scorecard

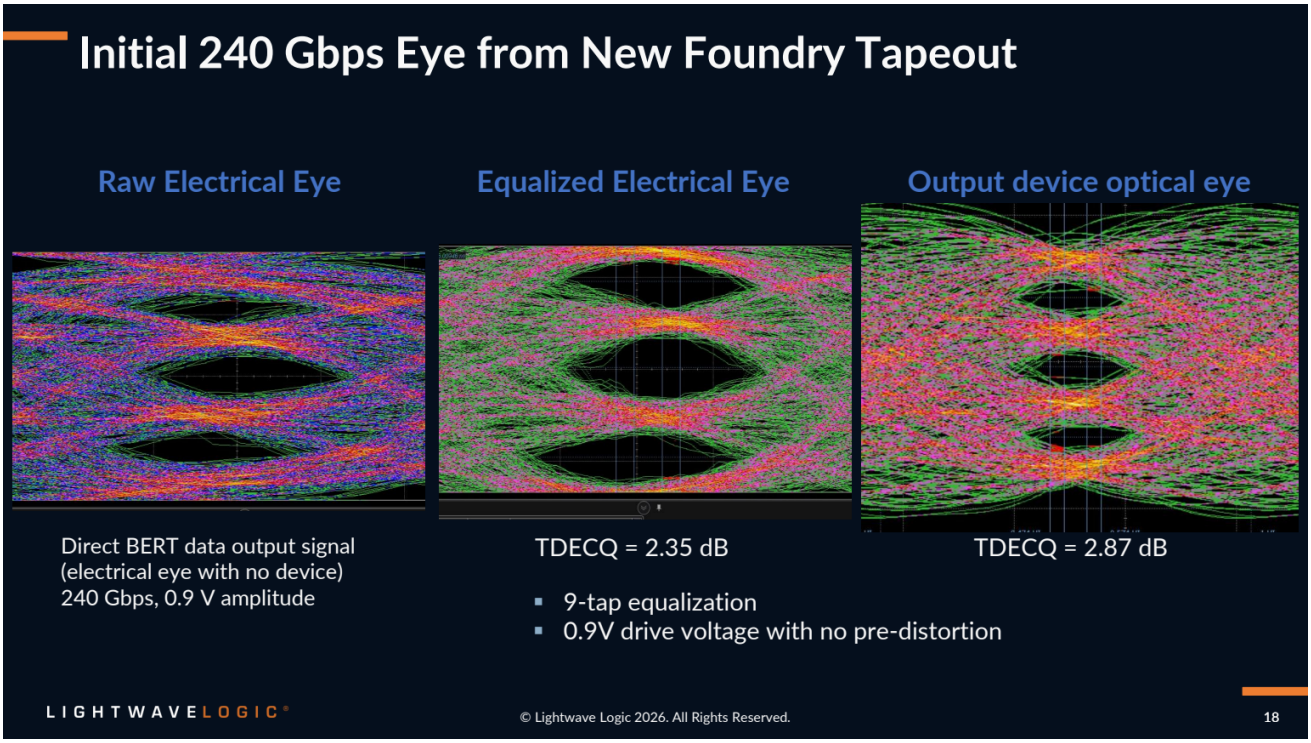
Category	Points	Evidence
Core thesis	14.000	Patent/material differentiation with multiple platform routes; competing materials remain available.
Cycle stage	3.000	Prototype qualification precedes accepted volume production.
TAM expansion	8.000	Growing optical-interconnect wallet across data-center and telecom uses.
Catalysts	4.000	Qualification, agreements, foundry output and customer production tests.
Macro	9.000	AI bandwidth and energy requirements support optical investment.
Alpha	3.000	Device evidence and financial capture require detailed reconciliation.
Risks	-5.000	Five distinct classes: qualification/reliability; commercial timing and runway; competition; undisclosed economics/allocation; outsourced scalability.
Total	36/60 = 60%	Below-65 framework band; Excel Base is 60.

7. What the polymer contributes to a silicon-photonics device

An electro-optic polymer changes refractive index in response to an electric field. The material is deposited into a silicon-photonics structure, poled to align its chromophores and encapsulated to protect the resulting device. Device geometry, electrical losses, optical losses and packaging all influence system performance.

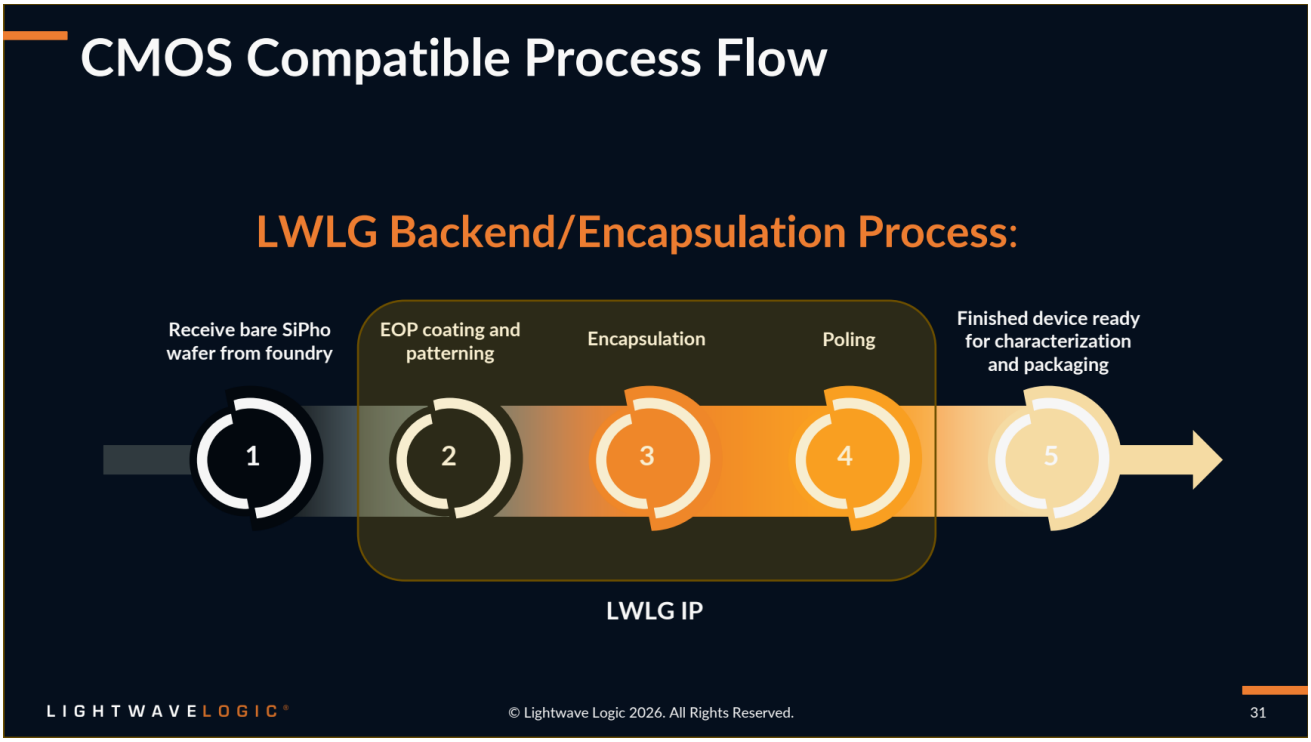
Lightwave Logic's September ECOC material includes a 240 Gb/s optical eye at 0.9 V, with nine-tap equalization and a reported 2.87 dB TDECQ. The company also presents simulations showing how active length and process geometry affect bandwidth. These measurements and simulations support specific engineering capabilities; full customer modules continue through their own qualification programs.

8. Measured foundry-device performance



Original Lightwave Logic ECOC presentation, September 22, 2026, physical page 18. Measured eye at 240 Gb/s and 0.9 V includes nine-tap equalization and 2.87 dB TDECQ. Read the conditions with the measurement.

9. Polymer backend process



Original Lightwave Logic August 2026 presentation, physical page 31. Silicon-photonics wafers proceed through polymer coating, poling and encapsulation before characterization and packaging.

10. Reliability evidence and remaining qualification

The June reliability presentation reports 2,000 hours of 85°C/85% relative-humidity testing on nine encapsulated devices: four 250-micrometer devices, three 500-micrometer devices and two 1-millimeter devices. It specifies a less-than-20% Vpi change criterion and reports no measurable degradation for the tested set. A separate 1,400-hour optical-power test uses 20 dBm at 1550 nm in room-temperature nitrogen.

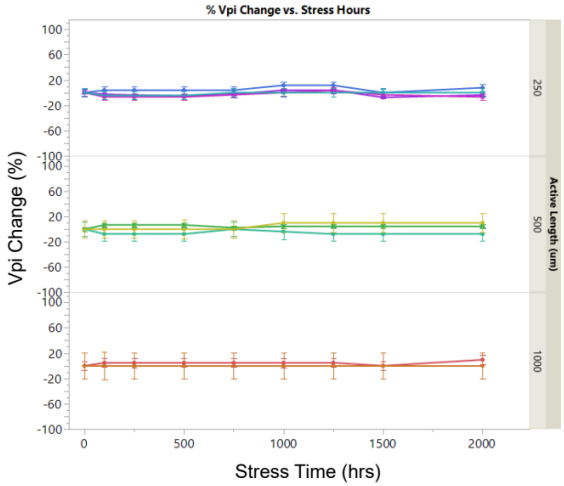
Test conditions matter when estimating commercial readiness. Encapsulation, material stability, foundry geometry, package design and operating environment must work together. The company continues device-level and foundry-specific reliability work. The long thermal-life projection is an extrapolation from accelerated data; the evidence does not provide decades of observed service.

11. Accelerated damp-heat reliability evidence

85°C - 85%rh with SOH Devices: Change in V_π

LIGHTWAVELOGIC®

Temperature = 85 °C | Humidity =85%rh



- SOH Device Structure:
  - EO Polymer with ENCAP protection
- Stress Condition:
  - 85°C – 85% rh
  - 4 devices- 250um length
  - 3 devices- 500um length
  - 2 devices- 1mm length
- Spec:
  - < 20% variation in V_π for 2,000 hrs
- Result:
  - No measurable V_π degradation for 2,000 hrs

EO Polymer SOH Devices with ENCAP Passing Damp Heat Stress

© Lightwave Logic, Inc. OIP Conference – June 2026

Stress Condition: Slot device. 85%rh-85°C

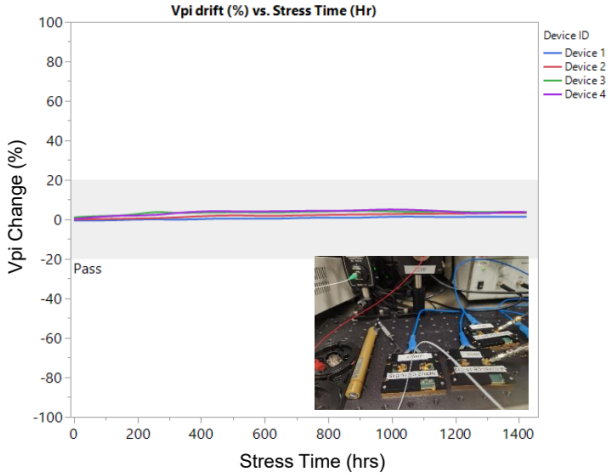
Original Lightwave Logic OIP presentation, June 16, 2026, physical page 22. Nine encapsulated devices and stated geometry/test conditions define the sample scope.

12. Optical-power stress conditions

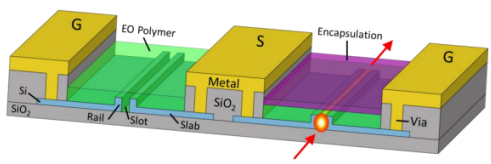
Photostability of SOH Devices in N2: Change in V_π

LIGHTWAVELOGIC®

Optical Power = 20 dBm, 1550nm



- High optical input power stress test (20dBm)
- V_π is stable over 1,400 hrs
- The average shift over ~1,400 hrs is 2%



Very Low Photodegradation in SOH Devices in N2 Atmosphere

© Lightwave Logic, Inc. OIP Conference – June 2026

Stress Condition: Slot device, RT, 20dBm at 1550nm, N_2 purge

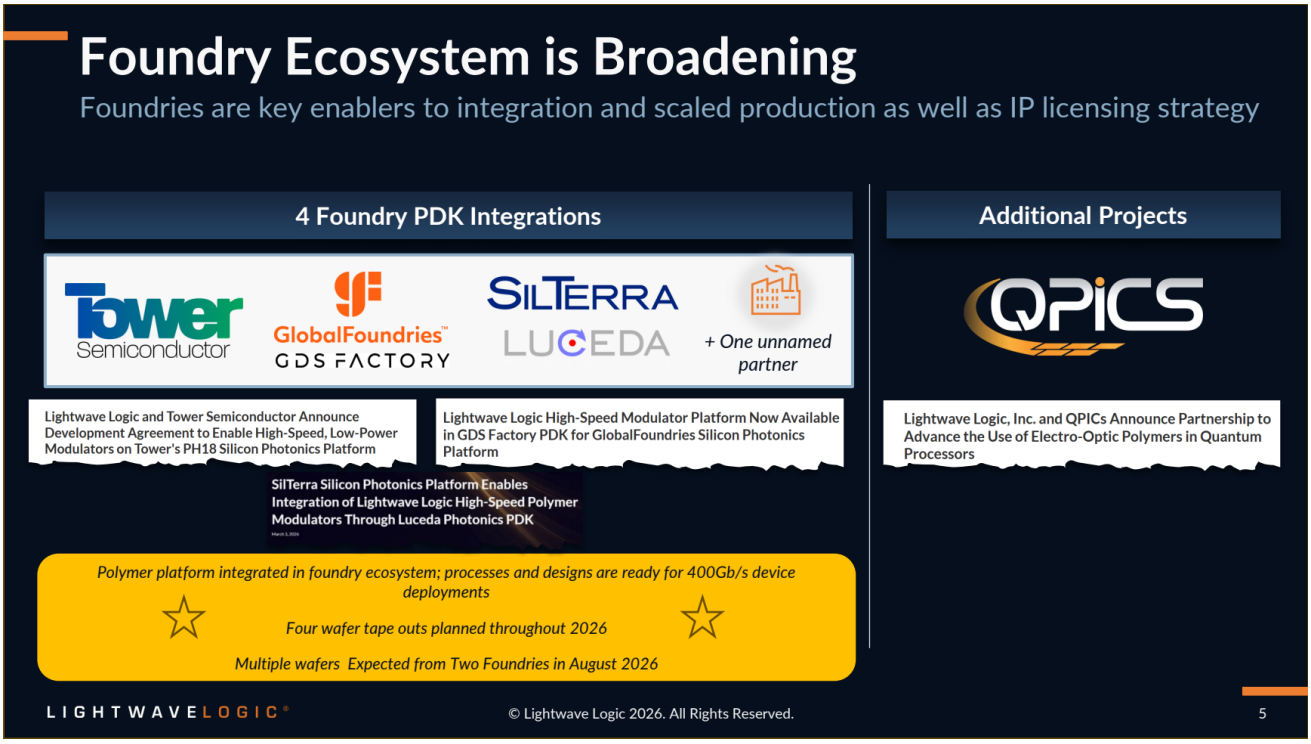
Original Lightwave Logic OIP presentation, June 16, 2026, physical page 21. Optical power, wavelength, ambient conditions and duration accompany the result.

13. Foundry enablement and customer programs

Tower, GlobalFoundries and SilTerra provide distinct routes for integrating polymer modulation into silicon photonics. Tower's development agreement concerns its PH18 platform and engineering tapeouts. The GlobalFoundries-related GDSFactory announcement provides design-kit support and validation work. SilTerra's Luceda integration supplies process rules and compact models, with an initial early-2026 tapeout described in its release.

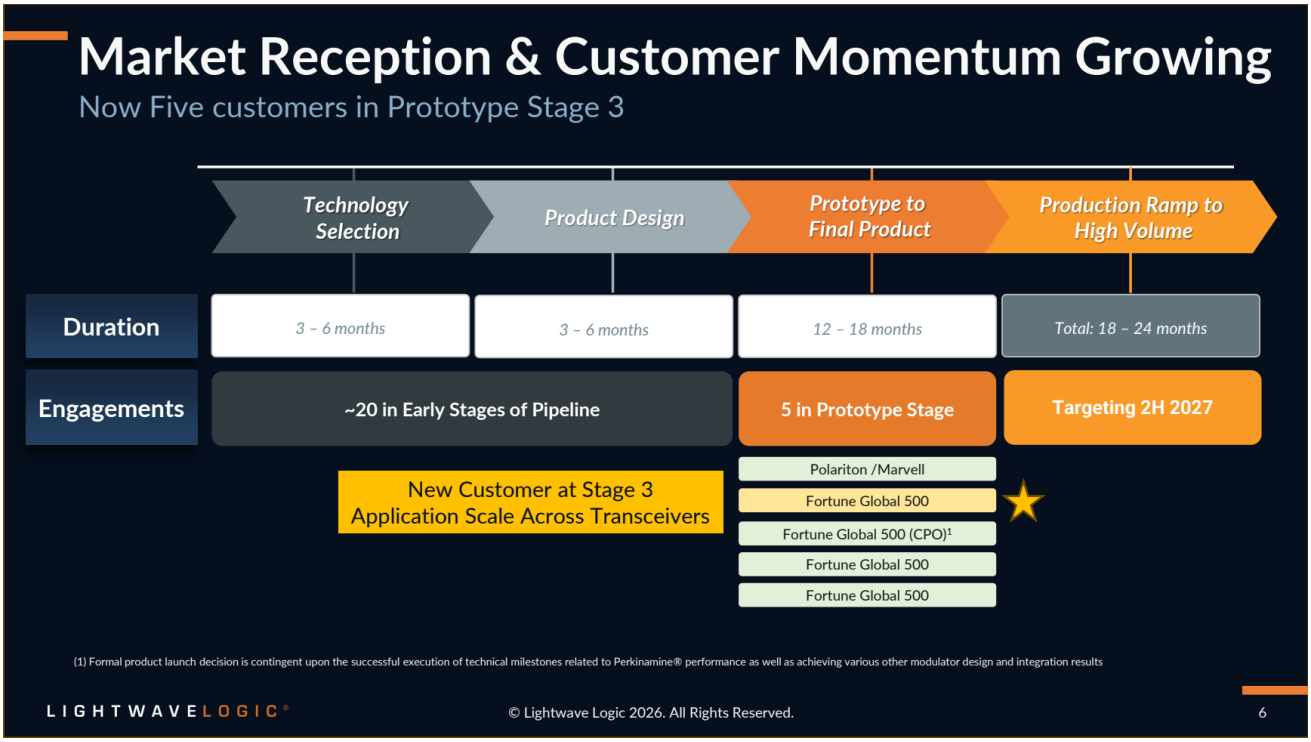
The four foundry platforms and five Stage 3 customer programs overlap in the production chain. A customer program can use a foundry platform and Lightwave Logic backend processing in the same finished device. The model must preserve that overlap when allocating units and revenue. Foundry access alone does not identify an accepted production order.

14. Foundry and PDK routes



Original August 11, 2026 Q2 call presentation, physical page 5. Named foundry design routes and planned wafer activity are engineering milestones.

15. Five customer programs and qualification cycle



Original August 11, 2026 Q2 call presentation, physical page 6. Five Stage 3 programs, 12-18-month prototype timing and the 2H 2027 production target retain their original scope.

16. Hon Hai demonstration and the dated commercial test

The October 29 issuer release describes a fully functional transceiver containing a silicon-organic-hybrid optical engine for the October 30-31 Hon Hai Technology Day demonstration. It targets 200/400 Gb/s per lane and states that integration, testing and qualification continue. Publicly disclosed information provides no associated order quantity, material price, production yield or committed revenue.

The identity of Hon Hai within the previously disclosed five Stage 3 slots remains unconfirmed. The economic program map should therefore retain a single exposure for this collaboration until evidence supports a separate program. The dated tests are subsequent module performance, qualification status, agreement scope and accepted production.

17. Alternative materials and system architectures

Primary partner releases describe NLM polymer integration work at Tower and GlobalFoundries. Tower and OpenLight also describe an indium-phosphide-on-silicon platform. Thin-film lithium-niobate reference hardware provides another development route. Customers can weigh performance, power, integration cost, reliability and available production capacity across these approaches.

The Marvell acquisition of Polariton places a polymer-related photonics program inside a larger optical portfolio. Marvell's acquisition release describes investment across technologies. The scope of future Lightwave Logic purchases, customer allocation and licensing economics remains undisclosed. Commercial capture therefore needs explicit program-level assumptions and substitution risk.

18. Reported income statement

LIGHTWAVE LOGIC, INC.
STATEMENTS OF COMPREHENSIVE LOSS
(UNAUDITED)

	Three Months Ended June 30, 2026	Three Months Ended June 30, 2025 (Restated)	Six Months Ended June 30, 2026	Six Months Ended June 30, 2025 (Restated)
NET SALES	$ 32,751	$ 25,605	$ 61,918	$ 48,522
COST AND EXPENSE				
Cost of sales	—	3,463	1,336	5,491
Research and development	3,878,703	2,621,441	7,368,998	5,710,659
General and administrative	3,423,188	2,300,884	6,686,054	4,137,936
	7,301,891	4,925,788	14,056,388	9,854,086
LOSS FROM OPERATIONS	(7,269,140)	(4,900,183)	(13,994,470)	(9,805,564)
OTHER INCOME (EXPENSE)				
Interest income and interest amortization on marketable securities	652,071	168,253	1,113,346	356,101
Commitment fee	—	(235,801)	—	(243,830)
Gain (loss) on disposal of property and equipment and intangible assets	(5,270)	—	(41,679)	28,800
Other income	8,542	1,098	8,466	836
NET LOSS	$ (6,613,797)	$ (4,966,633)	$ (12,914,337)	$ (9,663,657)
OTHER COMPREHENSIVE INCOME (LOSS)				
Net unrealized holding loss on available-for-sale debt securities	(48,901)	—	(48,901)	—
COMPREHENSIVE LOSS	$ (6,662,698)	$ (4,966,633)	$ (12,963,238)	$ (9,663,657)
LOSS PER SHARE				
Basic and diluted	$ (0.04)	$ (0.04)	$ (0.09)	$ (0.08)
WEIGHTED AVERAGE NUMBER OF SHARES				
Basic and diluted	153,479,343	125,271,407	150,797,655	124,605,324

See accompanying notes to these financial statements

3

SEC Form 10-Q for June 30, 2026, income statement. This exhibit is a local faithful rendering of retained original SEC HTML; values are actual U.S. dollars.

19. Reported operating base

The latest reported quarter is June 2026. Q2 revenue was $32,751, operating loss was $7.269 million and net loss was $6.614 million. First-half revenue was $61,918, operating cash outflow was $9.883 million and cash purchases of property and equipment were $1.518 million. Patent and other intangible cash spending added $0.245 million.

The October 26 issuer announcement schedules third-quarter results for November 10 at 4:30 p.m. Eastern. The November 4 analysis uses the June financial statements and later disclosed operating and equity events. September-quarter revenue, expenses, cash and legal shares remain unpublished at this cutoff.

20. Reported operating and cash anchors

Period	Revenue	R&D	G&A	Operating profit	Net income	CFO
FY2025	0.237	11.490	9.502	-20.761	-20.314	-13.749
H1 2026	0.062	7.369	6.686	-13.994	-12.914	-9.883
Q2 2026	0.033	3.879	3.423	-7.269	-6.614	-5.821

21. Revenue recognition and contract visibility

The company combines the technology license and material supply into one performance obligation because they are highly interdependent. Nonrefundable upfront fees and minimum annual royalties are recognized over the contract term. Royalties above the minimum are recognized when earned; milestone payments depend on achieving the contractual milestone.

The existing May 2023 license has a four-year term ending in May 2027 and a $50,000 upfront fee. The company does not disclose the numerical minimum royalty or variable royalty rate. Its development arrangement provides $130,000 for Phase 1 and $200,000 for Phase 2. Half of the Phase 2 consideration had been received by June 30 and remained a contract liability. Phase 3 terms are undetermined. Development costs are expensed in R&D as incurred.

The filing gives December 2025 and January 2026 in different descriptions of the development agreement. The financial bridge uses the reported consideration, receipts and recognition rules while preserving that date discrepancy in the source record.

22. License and material recognition policy

LIGHTWAVE LOGIC, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2026 AND 2025

NOTE 1 – NATURE OF BUSINESS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

Revenue Recognition and Contract Liability (Continued)

To achieve this, the Company applies the five-step model:

1. Identify the contract with a customer.
2. Identify the performance obligations in the contract.
3. Determine the transaction price for the contract.
4. Allocate the transaction price to the performance obligations.
5. Recognize revenue as performance obligations are satisfied.

The Company's primary revenue streams include technology license and material supply agreements and non-recurring engineering revenue from joint development agreements.

Technology License and Material Supply Agreements

The Company enters into technology license and material supply agreements, under which it grants customers a non-exclusive, royalty-bearing license to use its patented electro-optic polymer technology (the "Licensed Product"). The Company also supplies proprietary polymers to licensees for use in their manufacturing of photonic devices.

The Company assesses whether the license and the supply of proprietary polymers represent distinct performance obligations. Based on this assessment, the Company has determined that the license and material supply are not distinct for financial reporting purposes because they are highly interdependent. Accordingly, the Company accounts for these as a single performance obligation.

Revenue under these agreements is recognized as follows:

Upfront License Fees – Nonrefundable upfront license fees are recorded as contract liability and recognized on a pro-rata basis over the contract term.

Minimum Annual Royalties – Fixed royalty payments required under the contract are also recognized on a pro-rata basis over the contract term.

Variable Royalties – Royalties exceeding the minimum annual amount are recognized when earned, typically when the licensee's sales exceed the minimum threshold.

Milestone Payments – Recognized only when the contractual milestone is achieved, such as when the licensee sells a specified number of units of the Licensed Product.

Joint Development Agreement

The Company entered into a memorandum of agreement ("MOA") with a customer to specify certain binding terms related to the joint development of electro-optical polymer-based modulators on silicon photonics for use in communication applications. The MOA was executed in January 2026; however, the Company commenced work under the arrangement during 2025. The development work consists of preparing reference documentation and support of a multi-project wafer chip produced at a mutually agreed upon foundry, the design and post processing of fabricated chips, and complete product verification and volume manufacturing preparation, with each party to the agreement having responsibility over various deliverables for each phase.

The Company evaluated the arrangement under ASC 808, Collaborative Arrangements, and concluded the arrangement meets the definition of a collaborative arrangement. The Company also concluded that certain promised services within the arrangement represent

SEC Form 10-Q, June 30, 2026, Note 1. The license/material performance obligation and upfront, minimum and variable royalty recognition are shown in the original filing.

23. The selected timing probabilities

The model assigns 40% to the on-time path, 35% to a four-quarter delay and 25% to prolonged delay or commercial failure. These are joint paths for the overlapping customer and foundry programs. Each path includes qualification, packaging, backend transfer, commercial terms and customer allocation. The probability weights are applied after each complete path is valued.

The on-time path begins limited units in the second half of 2027. The delayed path moves the same ramp four quarters later. The prolonged path retains small evaluation-scale shipments near the end of the forecast. Shared timing prevents a separate success assumption for every partner announcement from multiplying the same underlying opportunity.

24. Accepted units, material receipts and licensing

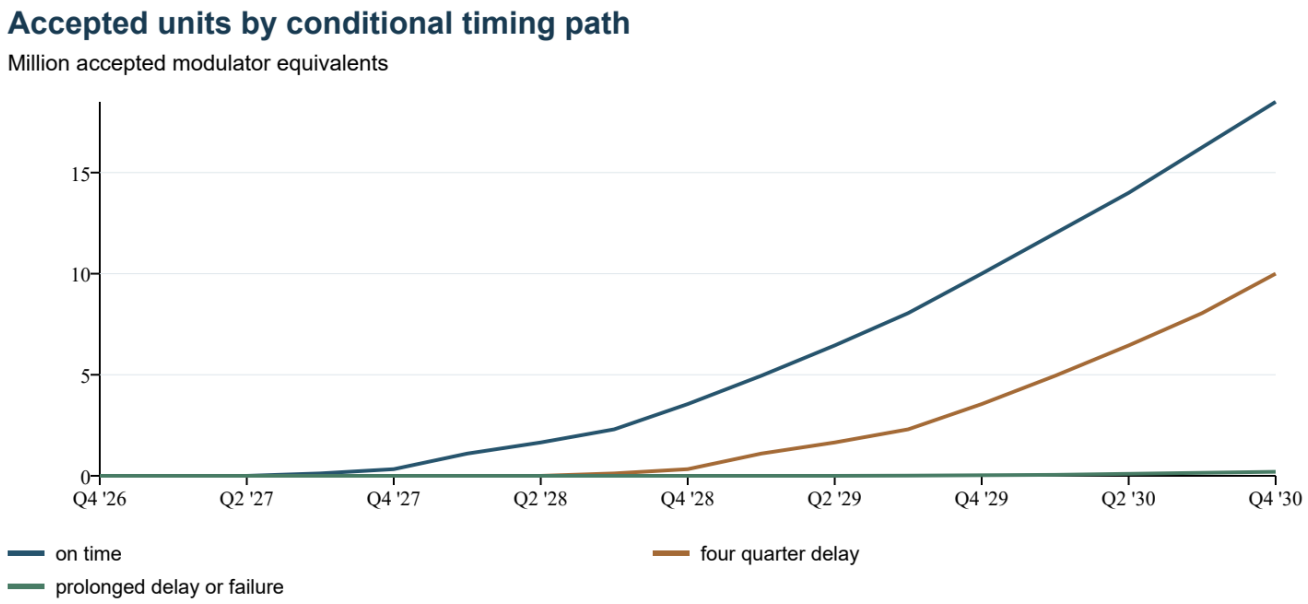
The selected receipt is $1.50 per accepted modulator equivalent, allocated to $0.60 of material revenue and $0.90 of recurring IP revenue. Contract rates and that allocation are undisclosed; both are analytical inputs. The all-in receipt is tested at $0.50 and $3.00. Accepted units are also tested separately at half and twice the selected amounts.

One eight-lane equivalent module contains eight revenue-bearing units in this convention. The direct modulator count governs revenue. The fixed license floor ends in May 2027 at the disclosed four-year contract expiry, with no assumed renewal. While active, recurring IP receipts equal the higher of the remaining license floor and unit-based IP receipts. Material revenue remains separate. Full Phase 2 consideration is $0.2 million: $0.1 million releases the existing contract liability and $0.1 million becomes a new billing on acceptance.

25. Conditional timing paths

Path	Probability	Mechanism
On time	40%	Limited accepted production begins in H2 2027; all linked commercial and qualification gates are included.
Four-quarter delay	35%	The shared program ramp shifts four quarters later.
Prolonged delay or failure	25%	Small late evaluation shipments, with continuing costs and financing needs.

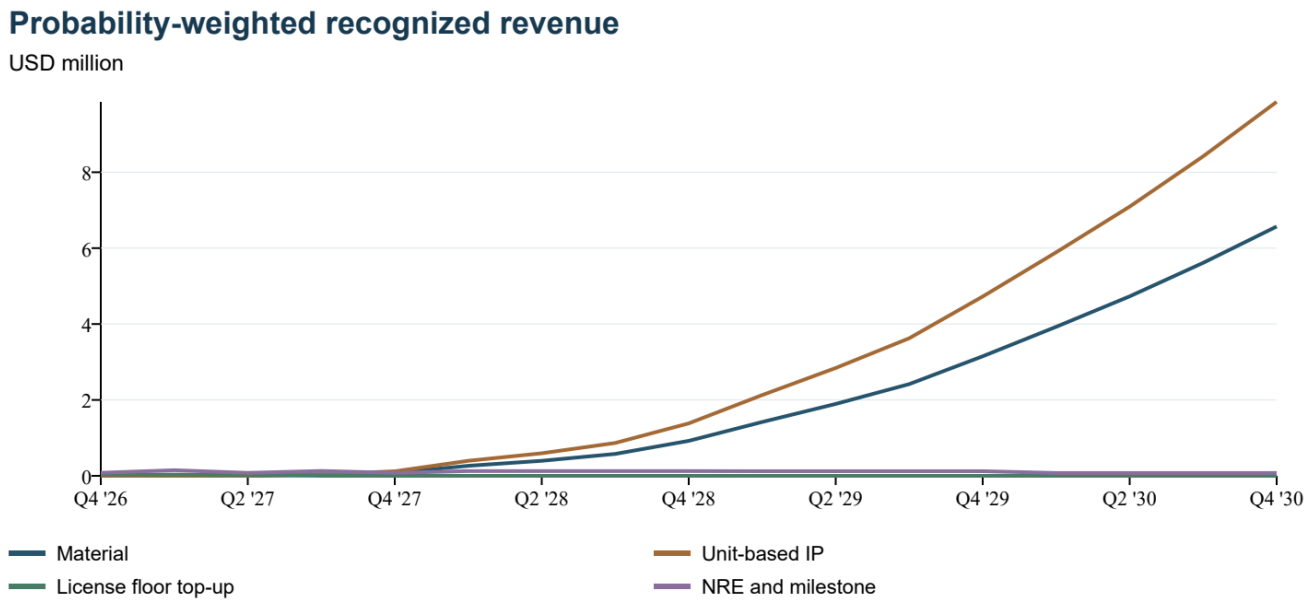
26. Accepted units by conditional timing path



Conditional paths use one joint timing probability. All plotted values appear below; no probability is applied a second time.

Quarter	on time	four quarter delay	prolonged delay or failure
Q4 2026	0.000	0.000	0.000
Q1 2027	0.000	0.000	0.000
Q2 2027	0.000	0.000	0.000
Q3 2027	0.120	0.000	0.000
Q4 2027	0.330	0.000	0.000
Q1 2028	1.100	0.000	0.000
Q2 2028	1.650	0.000	0.000
Q3 2028	2.300	0.120	0.000
Q4 2028	3.550	0.330	0.000
Q1 2029	4.950	1.100	0.000
Q2 2029	6.450	1.650	0.000
Q3 2029	8.050	2.300	0.010
Q4 2029	10.000	3.550	0.030
Q1 2030	12.000	4.950	0.050
Q2 2030	14.000	6.450	0.100
Q3 2030	16.250	8.050	0.150
Q4 2030	18.500	10.000	0.200

27. Probability-weighted recognized revenue



Probability-weighted revenue vectors reconcile to total external revenue. The finite license floor and development fees use their own recognition terms.

Quarter	Material	Unit-based IP	License floor top-up	NRE and milestone
Q4 2026	0.000	0.000	0.033	0.080
Q1 2027	0.000	0.000	0.033	0.148
Q2 2027	0.000	0.000	0.022	0.078
Q3 2027	0.029	0.043	0.000	0.128
Q4 2027	0.079	0.119	0.000	0.078
Q1 2028	0.264	0.396	0.000	0.125
Q2 2028	0.396	0.594	0.000	0.125
Q3 2028	0.577	0.866	0.000	0.125
Q4 2028	0.921	1.382	0.000	0.125
Q1 2029	1.419	2.128	0.000	0.122
Q2 2029	1.894	2.842	0.000	0.122
Q3 2029	2.417	3.625	0.000	0.122
Q4 2029	3.150	4.725	0.000	0.122
Q1 2030	3.927	5.891	0.000	0.075
Q2 2030	4.729	7.094	0.000	0.075
Q3 2030	5.613	8.420	0.000	0.075
Q4 2030	6.570	9.855	0.000	0.075

28. Research, production support and capital needs

First-half R&D expense was $7.369 million and G&A expense was $6.686 million. Management attributed growth to staffing, stock compensation, laboratory supplies, prototype fabrication, professional services and related operating costs. The August presentation reports about 50 employees as of August 8; the Q2 call describes a 25% sequential headcount increase.

The scalable business case depends on polymer synthesis, backend processing and partner infrastructure. Management targets gross margins above 60% at scale and describes limited incremental capital needs. The source record does not quantify commercial wafer throughput, device yield, material loading per device or future support headcount. The forecast must expose those operating assumptions and allow qualification delays to extend cash spending.

June net property and equipment totaled $5.791 million, including $0.908 million of equipment not yet in service. Depreciation is straight-line: three years for office equipment and software, three to five years for laboratory equipment and seven years for furniture. Leasehold improvements follow the shorter of asset life and remaining lease term.

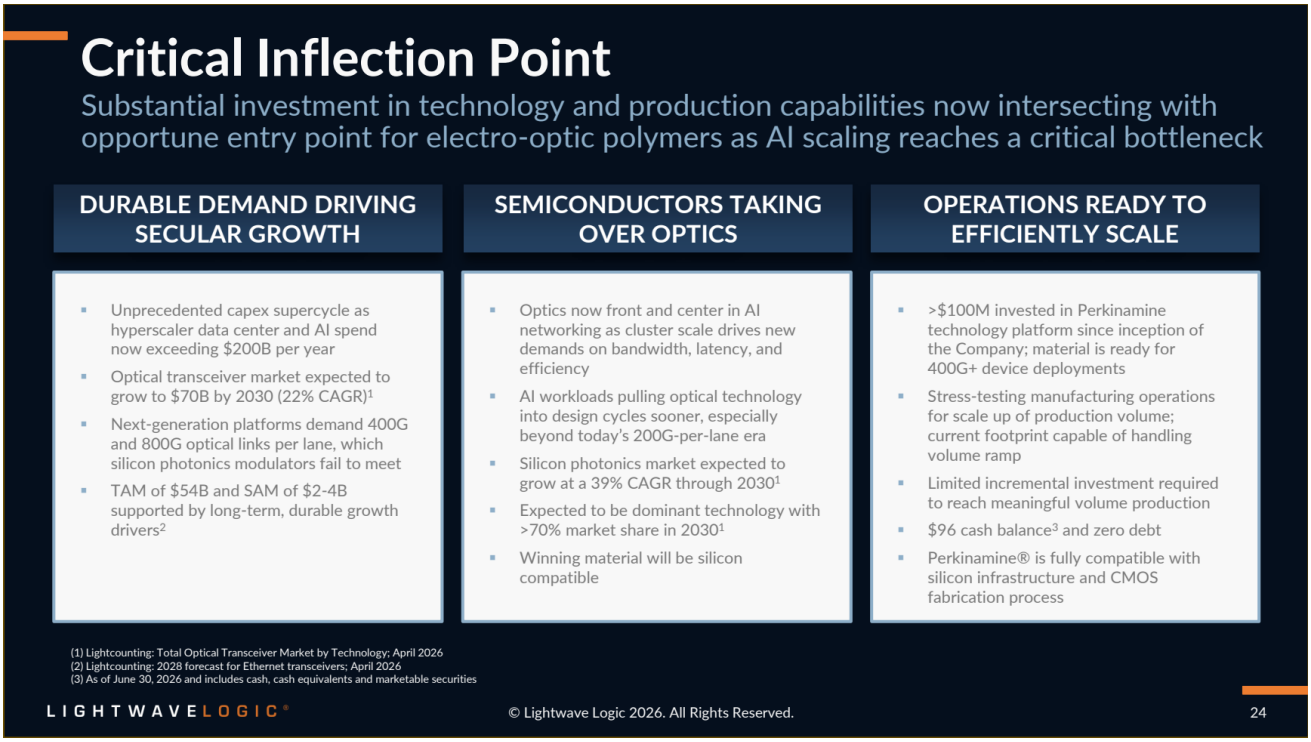
29. Production cash contribution and operating expenses

The model begins with a $0.30 material cash cost per gross processed unit and an IP cash cost of 10% of IP revenue. The selected accepted yield rises from 70% in 2026-2027 to 80% in 2028, 85% in 2029 and 90% in 2030. Quarters with production also carry $0.15 million of fixed production cash cost. These are explicit estimates because full-flow yields, material loading and processing prices are unavailable.

Cash R&D is $3.0 million per quarter in Q4 2026 and $3.4 million per quarter in 2027, then grows 10% annually. Cash G&A is $2.6 million per quarter in Q4 2026 and $2.8 million per quarter in 2027, then grows 8% annually. Variable administration adds 2% of revenue. Development-fulfillment spending is included in R&D. SBC and depreciation are added to the corresponding GAAP expense lines.

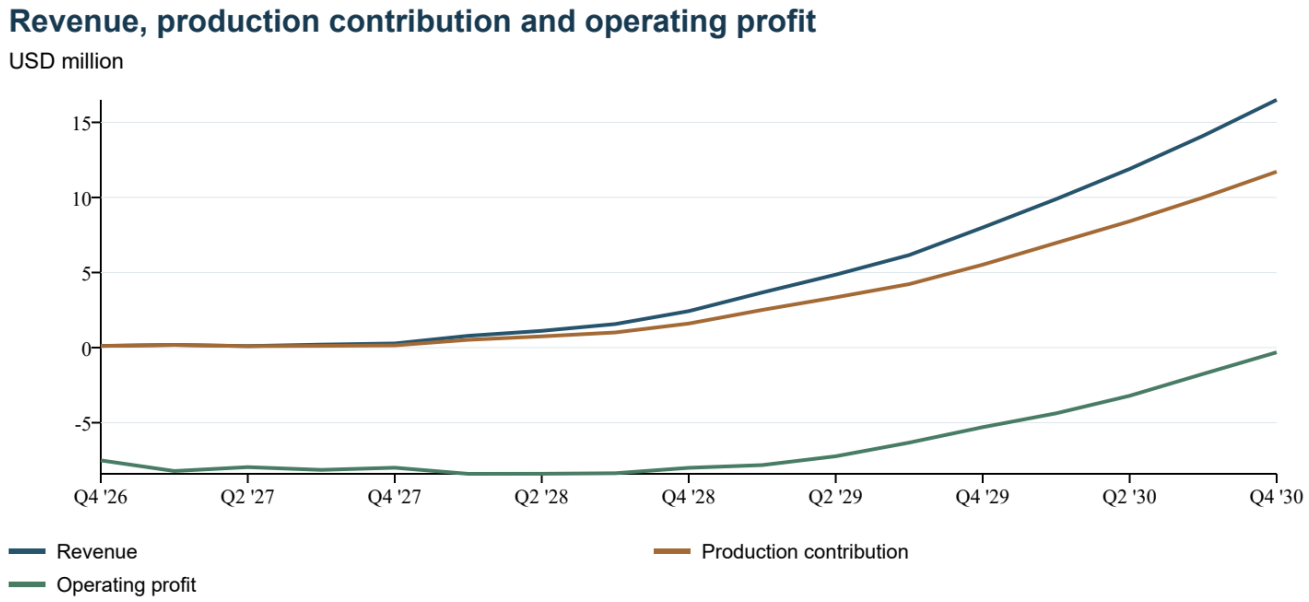
The production cash contribution margin uses the selected direct cash-cost boundary. The company's stated 60%+ gross-margin aspiration applies at scale. The report will keep each calculation's cost scope visible and show the complete bridge through operating profit.

30. Issuer view of scale and capital intensity



Original August 2026 presentation, physical page 24. Management describes its footprint and capital-intensity expectations. The selected model supplies explicit cost and spending estimates.

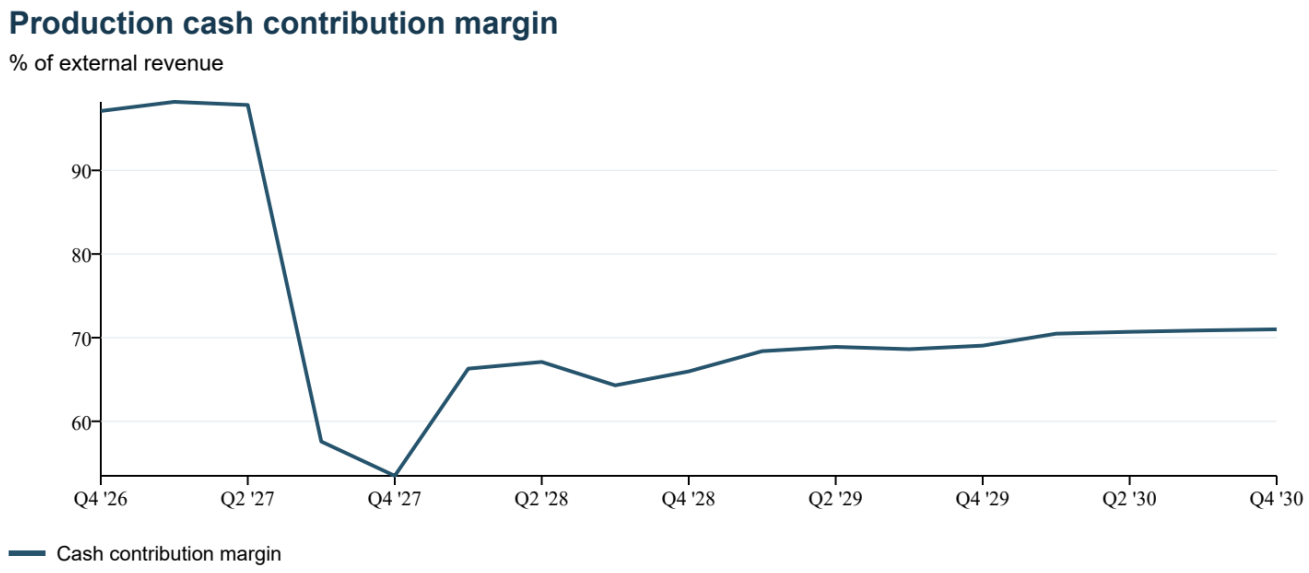
31. Revenue, production contribution and operating profit



Production contribution deducts selected direct cash costs. Book R&D and G&A include the selected SBC and depreciation allocation; the complete operating-profit bridge follows.

Quarter	Revenue	Production contribution	Operating profit
Q4 2026	0.113	0.109	-7.511
Q1 2027	0.181	0.178	-8.220
Q2 2027	0.100	0.098	-7.960
Q3 2027	0.200	0.115	-8.144
Q4 2027	0.276	0.148	-7.999
Q1 2028	0.785	0.520	-8.406
Q2 2028	1.115	0.748	-8.401
Q3 2028	1.568	1.008	-8.366
Q4 2028	2.428	1.602	-8.007
Q1 2029	3.669	2.509	-7.824
Q2 2029	4.858	3.347	-7.237
Q3 2029	6.163	4.229	-6.329
Q4 2029	7.997	5.521	-5.300
Q1 2030	9.893	6.972	-4.375
Q2 2030	11.899	8.412	-3.209
Q3 2030	14.108	9.997	-1.750
Q4 2030	16.500	11.715	-0.314

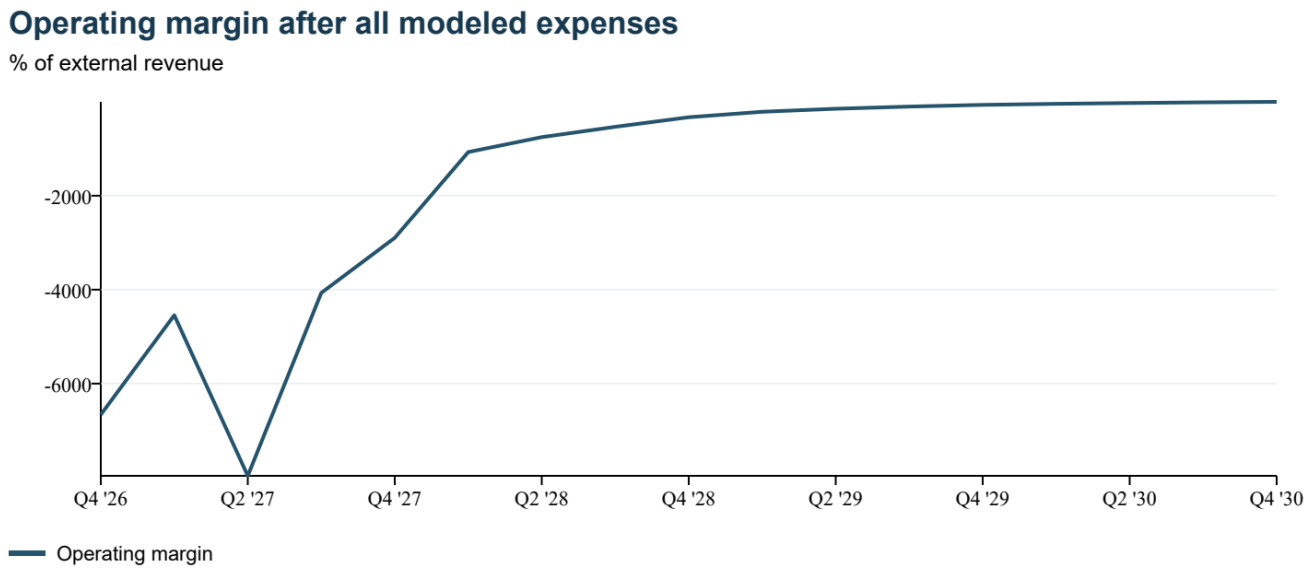
32. Production cash contribution margin



The cash contribution margin deducts direct production cash costs. Fixed development, selling, administration, SBC and D&A are carried in operating expense.

Quarter	Cash contribution margin
Q4 2026	97.095
Q1 2027	98.189
Q2 2027	97.816
Q3 2027	57.581
Q4 2027	53.481
Q1 2028	66.293
Q2 2028	67.094
Q3 2028	64.297
Q4 2028	65.963
Q1 2029	68.385
Q2 2029	68.896
Q3 2029	68.621
Q4 2029	69.045
Q1 2030	70.475
Q2 2030	70.695
Q3 2030	70.865
Q4 2030	70.997

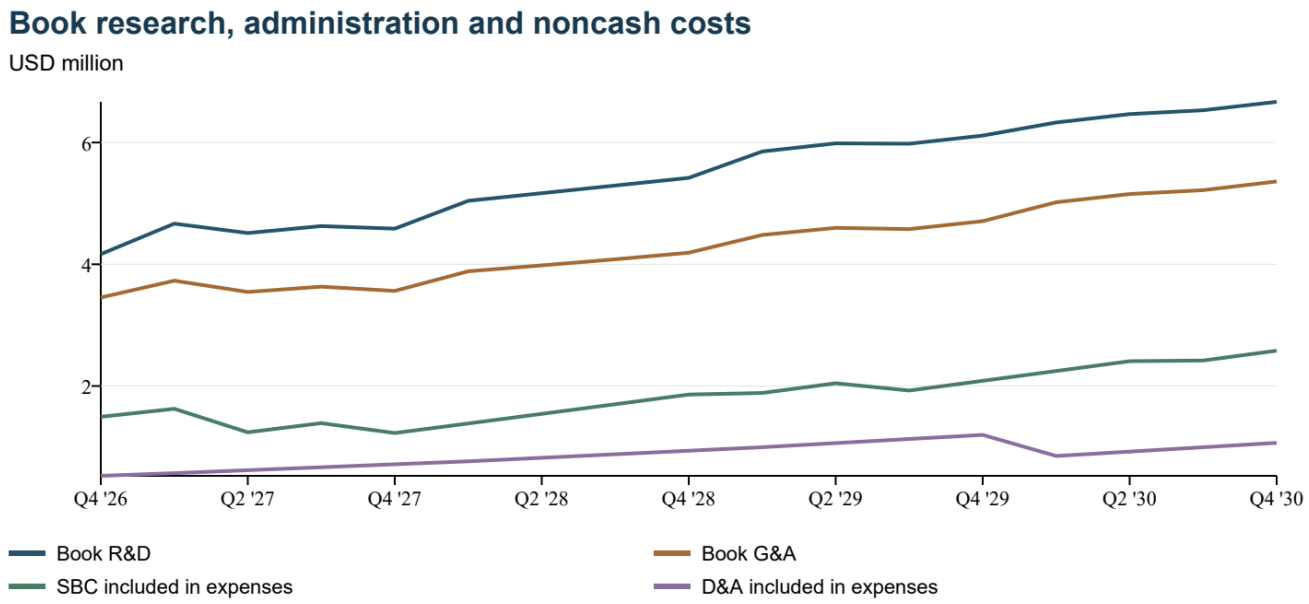
33. Operating margin after all modeled expenses



All modeled operating costs are included. Small initial revenue makes early percentage losses very large; the dollar-profit chart provides the companion scale.

Quarter	Operating margin
Q4 2026	-6,661.594
Q1 2027	-4,544.288
Q2 2027	-7,963.511
Q3 2027	-4,069.369
Q4 2027	-2,896.888
Q1 2028	-1,070.865
Q2 2028	-753.457
Q3 2028	-533.570
Q4 2028	-329.732
Q1 2029	-213.232
Q2 2029	-148.965
Q3 2029	-102.689
Q4 2029	-66.278
Q1 2030	-44.230
Q2 2030	-26.965
Q3 2030	-12.407
Q4 2030	-1.902

34. Book research, administration and noncash costs



SBC and D&A are included within the two book expense lines. Their separate series explain expense composition and are not added a second time.

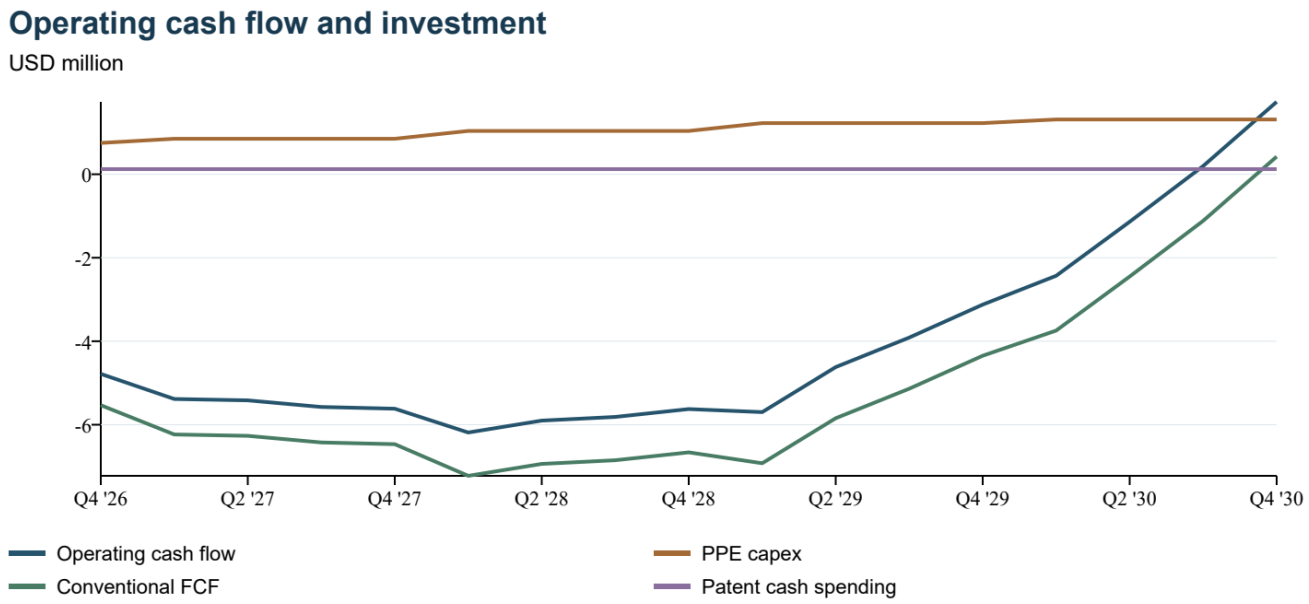
Quarter	Book R&D	Book G&A	SBC included in expenses	D&A included in expenses
Q4 2026	4.166	3.454	1.494	0.524
Q1 2027	4.667	3.730	1.625	0.568
Q2 2027	4.513	3.545	1.239	0.617
Q3 2027	4.627	3.632	1.390	0.665
Q4 2027	4.585	3.562	1.227	0.714
Q1 2028	5.042	3.884	1.384	0.763
Q2 2028	5.168	3.982	1.542	0.821
Q3 2028	5.293	4.081	1.701	0.879
Q4 2028	5.419	4.190	1.859	0.937
Q1 2029	5.853	4.481	1.886	0.995
Q2 2029	5.986	4.598	2.045	1.062
Q3 2029	5.980	4.578	1.925	1.129
Q4 2029	6.114	4.708	2.085	1.197
Q1 2030	6.329	5.018	2.246	0.851
Q2 2030	6.467	5.153	2.407	0.922
Q3 2030	6.530	5.218	2.419	0.994
Q4 2030	6.668	5.360	2.580	1.066

35. Capital investment and working capital

The selected property-and-equipment budgets depend on timing: the on-time path uses $4 million in 2027, $5 million in 2028 and $6 million annually in 2029-2030. The four-quarter delay shifts that readiness spending; the prolonged path holds annual spending at $3 million. New PPE is depreciated over twenty quarters beginning in the following quarter. Patent cash spending is $0.123 million per quarter, with a separate twenty-quarter amortization estimate.

The cash bridge uses sixty-day receivables, ninety-day material inventory and forty-five-day incremental material payables. The unpaid half of the Phase 2 milestone enters receivables on acceptance. Cash already received remains within the opening balance and is released through contract liabilities. These assumptions must reconcile to each quarter's cash flow and closing balances.

36. Operating cash flow and investment



Conventional FCF equals operating cash flow less PPE capex. Capitalized patent spending is displayed separately and is included in the full cash bridge.

Quarter	Operating cash flow	PPE capex	Conventional FCF	Patent cash spending
Q4 2026	-4.783	0.750	-5.533	0.123
Q1 2027	-5.384	0.850	-6.234	0.123
Q2 2027	-5.417	0.850	-6.267	0.123
Q3 2027	-5.575	0.850	-6.425	0.123
Q4 2027	-5.617	0.850	-6.467	0.123
Q1 2028	-6.187	1.038	-7.225	0.123
Q2 2028	-5.902	1.038	-6.939	0.123
Q3 2028	-5.814	1.038	-6.851	0.123
Q4 2028	-5.625	1.038	-6.663	0.123
Q1 2029	-5.698	1.225	-6.923	0.123
Q2 2029	-4.620	1.225	-5.845	0.123
Q3 2029	-3.913	1.225	-5.138	0.123
Q4 2029	-3.123	1.225	-4.348	0.123
Q1 2030	-2.432	1.312	-3.745	0.123
Q2 2030	-1.138	1.312	-2.450	0.123
Q3 2030	0.197	1.312	-1.116	0.123
Q4 2030	1.735	1.312	0.422	0.123

37. Cash, securities and financing capacity

June 30 cash and cash equivalents were $47.209 million and marketable securities were $48.702 million, totaling $95.911 million. The company reported no bank debt. Its operating-lease liability was $2.504 million and future fixed lease payments totaled $3.392 million.

Equity financing and exercises funded the first-half cash increase. The cash-flow statement shows $27.884 million net ATM proceeds, $4.931 million net overallotment proceeds and $8.310 million from option and warrant exercises. The amended ATM had only $3,385 of unused gross capacity as of August 14. Shelf registrations preserve the ability to raise funds under later offerings; future proceeds and dilution depend on executed terms.

The company's June filing states a runway through at least December 2027. Its August deck describes funding well into 2028. The selected cash forecast must reconcile operating spending, securities, capital expenditure, award withholding and any explicitly assumed future financing.

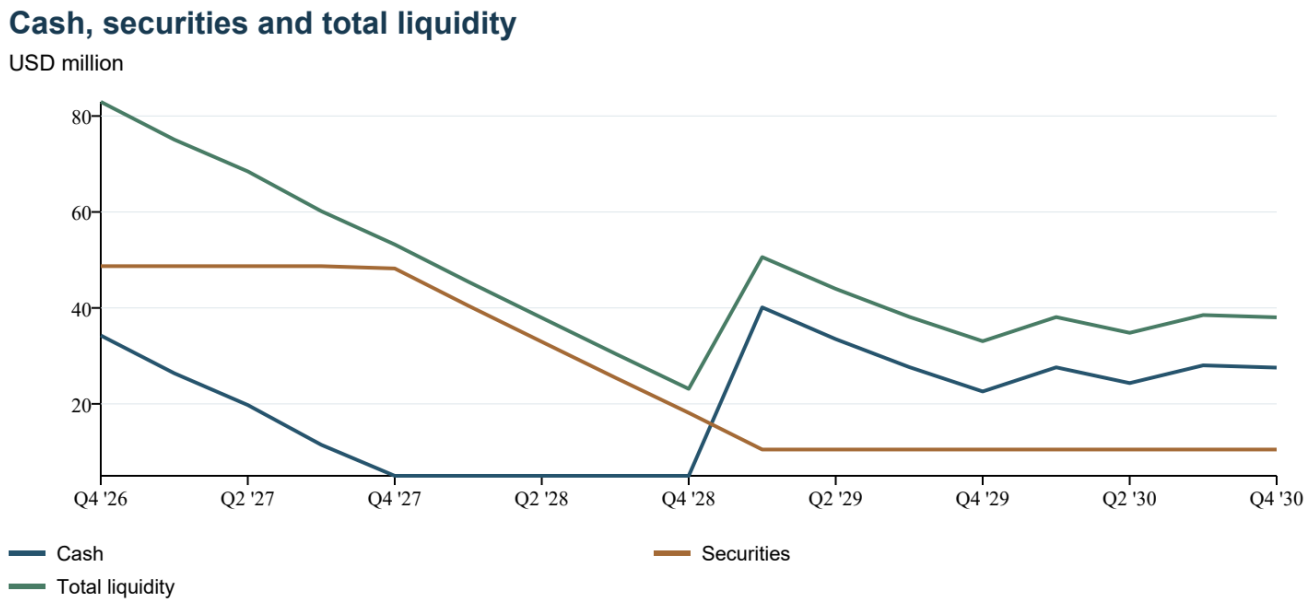
38. Liquidity and conditional equity funding

The forecast uses opening cash and marketable securities as separate assets. Operating cash can be restored to a $5 million floor by redeeming securities at carrying value. Investment income is estimated at 3.5% annually on opening liquid resources. Securities redemptions are internal balance-sheet transfers.

At quarter end, the funding rule tests whether total liquid resources are below $20 million. Conditional new equity raises target that floor plus a four-quarter buffer based on current cash consumption, patent spending and equity withholding. The assumed issue price is 35% of the $4.30 reference, with 3% issuance fees. The available common-share authorization reserves outstanding options and unvested RSUs. Any capacity failure remains an explicit shortfall.

Current remaining ATM capacity is only $3,385. Future equity issuance therefore requires a new offering or facility and investor demand. The model assumes no dividends or buybacks and includes a no-new-equity stress.

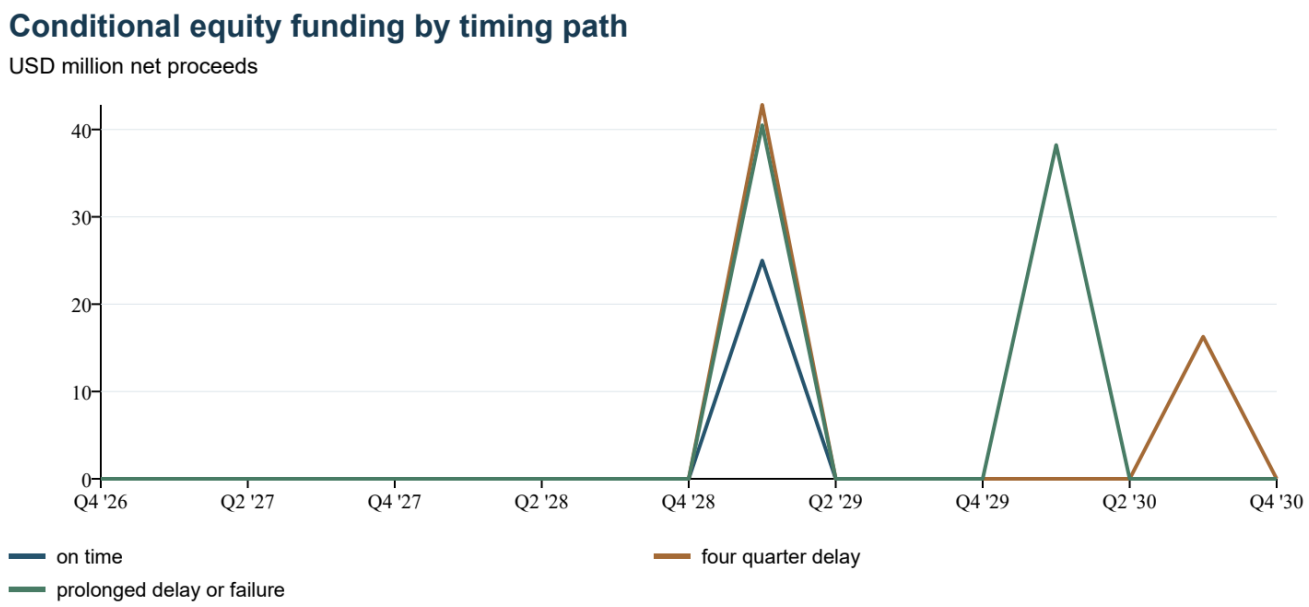
39. Cash, securities and total liquidity



Cash and securities are separate liquid assets. Security redemptions are internal transfers; conditional equity raises follow the selected funding rule.

Quarter	Cash	Securities	Total liquidity
Q4 2026	34.250	48.702	82.952
Q1 2027	26.375	48.702	75.077
Q2 2027	19.756	48.702	68.457
Q3 2027	11.465	48.702	60.167
Q4 2027	5.000	48.218	53.218
Q1 2028	5.000	40.463	45.463
Q2 2028	5.000	32.945	37.945
Q3 2028	5.000	25.467	30.467
Q4 2028	5.000	18.129	23.129
Q1 2029	40.108	10.481	50.589
Q2 2029	33.491	10.481	43.972
Q3 2029	27.666	10.481	38.148
Q4 2029	22.583	10.481	33.065
Q1 2030	27.609	10.481	38.091
Q2 2030	24.327	10.481	34.808
Q3 2030	28.028	10.481	38.509
Q4 2030	27.553	10.481	38.035

40. Conditional equity funding by timing path



Future raises are assumptions requiring execution. Current unused ATM capacity is only $3,385. Share authorization and operating shortfalls remain visible in the tables.

Quarter	on time	four quarter delay	prolonged delay or failure
Q4 2026	0.000	0.000	0.000
Q1 2027	0.000	0.000	0.000
Q2 2027	0.000	0.000	0.000
Q3 2027	0.000	0.000	0.000
Q4 2027	0.000	0.000	0.000
Q1 2028	0.000	0.000	0.000
Q2 2028	0.000	0.000	0.000
Q3 2028	0.000	0.000	0.000
Q4 2028	0.000	0.000	0.000
Q1 2029	24.991	42.822	40.493
Q2 2029	0.000	0.000	0.000
Q3 2029	0.000	0.000	0.000
Q4 2029	0.000	0.000	0.000
Q1 2030	0.000	0.000	38.218
Q2 2030	0.000	0.000	0.000
Q3 2030	0.000	16.276	0.000
Q4 2030	0.000	0.000	0.000

41. Share awards, dilution and cash withholding

The latest precise issuer-wide legal common-share count is 154,167,255 as of August 14. At June 30, outstanding options totaled 6,042,279 at a $3.90 weighted exercise price, and unvested RSUs totaled 3,076,309. The 108,672 unvested restricted shares were already issued common shares. The prior underwriter warrants had all been exercised.

The July CFO award adds 396,694 RSUs with a $2.4 million grant value in the employment agreement. Its first 99,178 shares vest in July 2027; the remainder vest in twelve quarterly installments. Kennedy's October award adds 64,724 RSUs across dated installments. The proxy's specific equity footnote schedules 610,749 gross CEO RSUs on each September 12, 2026, March 12, 2027 and September 12, 2027. The September Form 4 confirms 310,750 withheld shares valued at $1.625 million. Company-wide shares after August 14 require a labeled reconstruction.

June unrecognized compensation costs were $9.452 million across options, restricted shares and RSUs. Existing CEO awards belong within that opening pool. Later awards require their own cost and vesting schedules. Noncash compensation remains an operating expense, is added back once in operating cash flow, and is reconciled with actual share issuance and cash tax withholding.

42. Selected vesting, SBC and share conventions

The June RSU cost pool is allocated in proportion to the known CEO and residual ordinary unit pools. Known CEO vesting retains the proxy-specific schedule; the ordinary pool is estimated to run off over twelve quarters. Subsequent CFO and Kennedy grants form separate cost and share cohorts. From 2027, the forecast assumes 0.6 million new RSUs each quarter at a $4.30 reference value, with expense and vesting spread over sixteen quarters. Actual future grants may differ.

The model uses gross vesting to reduce unvested units, net shares after withholding to increase common shares, and cash tax remittances as financing outflows. Its option contribution is a composite treasury-stock-method estimate using 6.042 million options at the $3.90 average strike and a $4.30 reference price. A gross-option sensitivity covers the unavailable strike distribution. The share convention for six-times-sales uses end-of-ceiling-quarter economic dilution; recurring EPS uses each quarter's economic diluted weighted-average shares.

43. Reported option and compensation activity

LIGHTWAVE LOGIC, INC.
NOTES TO FINANCIAL STATEMENTS
JUNE 30, 2026 AND 2025

NOTE 12 – STOCK BASED COMPENSATION (CONTINUED)

Common Stock Options and Warrants (Continued)

Modification of Equity Awards

During the three months ended June 30, 2026, the Company entered into consulting agreements with two former employees whose employment terminated during the period. Under the consulting agreements, the former employees will provide consulting services through December 30, 2026.

In connection with the consulting agreements, the Company modified certain outstanding stock options and unvested restricted stock awards ("RSAs") by permitting continued vesting through December 30, 2026. Stock options that were scheduled to vest after December 30, 2026 were forfeited. In addition, all unvested restricted stock units ("RSUs") held by the former employees were forfeited upon termination of employment in accordance with the terms of the applicable award agreements.

The Company evaluated the consulting arrangements under ASC 718 and recognized the entire incremental compensation cost associated with the modified awards on the modification date since the consulting services did not represent substantive future services. The net incremental compensation cost recognized as a result of the modifications totaled $386,347, all of which was recognized during the three and six months ended June 30, 2026. No unrecognized compensation cost related to the modified awards remained as of June 30, 2026.

Share-based compensation was recognized as follows:

	Three Months Ended June 30, 2026	Three Months Ended June 30, 2025	Six Months Ended June 30, 2026	Six Months Ended June 30, 2025
Stock options	$ 618,919	$ 533,650	$ 950,449	$ 1,282,692
Restricted stock awards	138,953	171,713	182,219	401,863
Restricted stock units	1,029,216	11,113	2,371,949	11,113
Performance stock units	—	384,925	—	384,925
Total share-based compensation	$ 1,787,088	$ 1,101,401	$ 3,504,617	$ 2,080,593

The following tables summarize all stock option and warrant activity of the Company during the six months ended June 30, 2026:

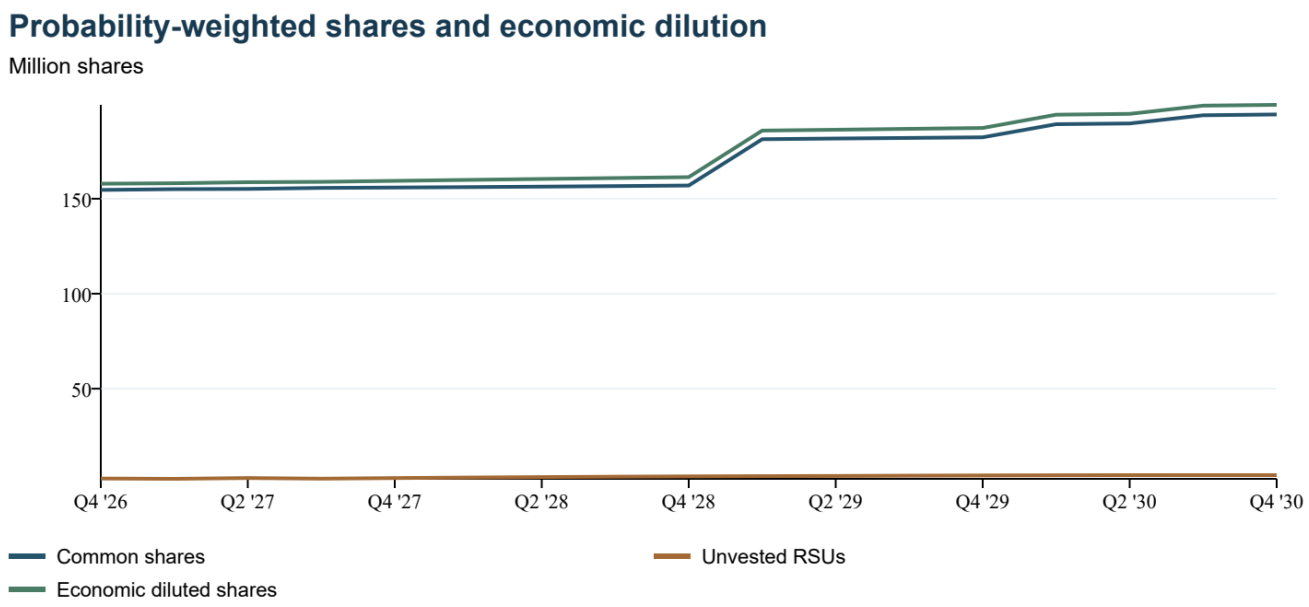
	Non-Qualified Stock Options and Warrants Outstanding and Exercisable		
	Number of Shares	Exercise Price	Weighted Average Exercise Price
Outstanding, December 31, 2025	8,996,078	$0.51 - $16.81	$ 3.47
Granted	252,500	$3.24 - $3.45	$ 3.28
Forfeited	28,749	$1.00 - 4.70	$ 2.52
Exercised	3,177,550	$0.60 - 10.86	$ 2.66
Outstanding, June 30, 2026	6,042,279	$0.51 - $16.81	$ 3.90
Exercisable, June 30, 2026	5,332,468	$0.51 - $16.81	$ 4.08

The aggregate intrinsic value of options and warrants outstanding and exercisable as of June 30, 2026 were $33,917,186 and $28,984,445, respectively. The aggregate intrinsic value is calculated as the difference between the exercise price of the underlying options and warrants and the closing stock price of $9.46 for the Company's common stock on June 30, 2026.

During the six months ended June 30, 2026, 2,775,050 options with the aggregate intrinsic value of $19,423,075 were exercised for proceeds of $6,946,686. Of this amount, 200,000 options were exercised via cashless settlement. In addition, 402,500 warrants with the

SEC Form 10-Q, June 30, 2026, Note 12. The source reports option activity, compensation expense and the fully recognized modification charge.

44. Probability-weighted shares and economic dilution



Common shares, unvested RSUs and composite option equivalents use the selected consistent dilution convention. Conditional financing affects each path before probability weighting.

Quarter	Common shares	Unvested RSUs	Economic diluted shares
Q4 2026	154.618	2.713	157.893
Q1 2027	155.025	2.553	158.140
Q2 2027	155.157	2.967	158.687
Q3 2027	155.683	2.636	158.881
Q4 2027	155.883	2.953	159.398
Q1 2028	156.109	3.232	159.903
Q2 2028	156.361	3.474	160.397
Q3 2028	156.639	3.678	160.880
Q4 2028	156.944	3.845	161.351
Q1 2029	181.324	3.974	185.860
Q2 2029	181.681	4.066	186.309
Q3 2029	181.992	4.224	186.778
Q4 2029	182.324	4.349	187.235
Q1 2030	189.227	4.437	194.226
Q2 2030	189.612	4.487	194.662
Q3 2030	193.925	4.500	198.988
Q4 2030	194.345	4.500	199.408

45. Recurring taxes, NOLs and cash taxes

The 2025 tax note reports $140.065 million of federal net operating losses: $34.755 million from periods before 2018 and $105.309 million from later periods. The earlier pool expires through 2037; the later pool carries forward indefinitely subject to its taxable-income limitation. The company warns that ownership-change rules may constrain use. It provides no quantified company-specific Section 382 limit or gross state NOL balance.

The reported statutory reconciliation starts with 21% federal tax and 2.36% state tax net of federal benefit in 2025. A full valuation allowance leaves net deferred tax assets at zero. The recurring earnings forecast needs a stated future tax rate, while the cash-tax bridge separately uses available NOLs and limits. Any one-time valuation-allowance release requires separate presentation in the handoff to recurring diluted EPS.

46. The selected book and cash tax bridge

Positive recurring pretax earnings use a 23.36% combined book-tax proxy, consisting of 21% federal tax and the reported 2025 state rate of 2.36% net of federal benefit. Loss periods receive no deferred-tax benefit in recurring earnings. The forecast excludes any one-time valuation-allowance release from the handoff test.

Taxable income adds back book SBC and deducts the selected fair value of vested RSUs. Cash tax first uses the modeled usable pre-2018 federal NOL, then the post-2017 pool within the 80% limitation. No state NOL benefit or option-exercise tax deduction is assumed. The exact NOL vintage and ownership-change limits remain uncertain; a zero-opening-NOL sensitivity measures their importance.

47. Tax rate and valuation allowance

LIGHTWAVE LOGIC, INC.
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2025 AND 2024

NOTE 9 – INCOME TAXES

As discussed in Note 1, the Company utilizes the asset and liability method of accounting for income taxes in accordance with FASB ASC 740.

Loss before provision for income taxes for the years ended December 31, 2025 and 2024 was as follows:

	2025	2024
Domestic	$ (20,313,797)	$ (22,535,041)
Foreign	—	—
Loss before income taxes	$ (20,313,797)	$ (22,535,041)

The income tax (benefit) provision consists of the following:

	2025	2024
Current	$ —	$ —
Deferred	(4,364,876)	(4,219,770)
Change in valuation allowance	4,364,876	4,219,770
Total	$ —	$ —

Upon adoption of ASU 2023-09, Improvements to Income Tax Disclosures, the reconciliation of the statutory federal rate to the Company's effective income tax rate for the year ended December 31, 2025 was as follows:

	Amount	%
U.S. federal statutory tax rate	$ (4,265,897)	21.00
State taxes, net of federal benefits		
State taxes	(480,058)	2.36
Change in valuation allowance	480,058	(2.36)
Change in valuation allowance	3,884,818	(19.12)
Nontaxable or nondeductible items	86,312	(0.42)
Other adjustments		
Expirations of net operating losses	421,674	(2.08)
Others	(126,906)	0.62
Effective tax rate	$ —	0.00

The reconciliation of the statutory federal rate to the Company's effective income tax rate for the year ended December 31, 2024 in accordance with the guidance prior to the adoption of ASU 2023-09 was as follows:

	Amount	%
Income tax benefit at U.S. federal income tax rate	$ (4,732,359)	21.00
State tax benefit, net of federal tax effect	(762,723)	3.38
Exercised share-based compensation	(280,090)	1.24
Other	1,555,403	(6.90)
Change in valuation allowance	4,219,770	(18.73)
	$ —	—

F-17

SEC 2025 Form 10-K, Note 9. Federal and state rates, permanent items and the valuation allowance reconcile to the reported zero effective tax rate.

48. NOL and deferred-tax balances

LIGHTWAVE LOGIC, INC.
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2025 AND 2024

NOTE 9 – INCOME TAXES (CONTINUED)

The components of deferred tax assets as of December 31, 2025 and 2024 are as follows:

	2025	2024
Net operating loss carryforwards	34,183,017	29,736,871
Share-based compensation	5,411,811	4,901,024
Section 174 research and development expenses	3,568,353	4,931,791
Lease liability	633,557	677,244
Others	77,793	113,864
Total deferred tax assets	43,874,531	40,360,794
Valuation allowance	(41,389,874)	(37,024,998)
Deferred tax assets net of valuation allowance	2,484,657	3,335,796
Section 481(a) adjustment	(1,490,581)	(2,264,040)
Right of use asset	(594,960)	(647,567)
Property and Equipment	(399,115)	(424,188)
Total deferred tax liabilities	(2,484,657)	(3,335,796)
Net deferred tax assets (liabilities)	—	—

The valuation allowance for deferred tax assets as of December 31, 2025 and 2024 was $41,389,874 and $37,024,998. The change in the total valuation for the year ended December 31, 2025 was an increase of $4,364,876, and for the year ended December 31, 2024 was an increase of $4,219,770.

In assessing the realization of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which the net operating losses and temporary differences become deductible. Management considered projected future taxable income and tax planning strategies in making this assessment. The value of the deferred tax assets was offset by a valuation allowance, due to the current uncertainty of the future realization of the deferred tax assets.

As of December 31, 2025, the Company had federal net operating loss carry forwards of approximately $140,064,567, comprised of federal net operating losses in the amount of approximately $34,755,366 recorded in tax years beginning prior to January 1, 2018 expiring through the year ending December 31, 2037 and federal net operating losses recorded in tax years beginning January 1, 2018 and after in the amount of approximately $105,309,201 which are allowed for an indefinite carryforward period but may be subject to limitations. This amount can be used to offset future taxable income of the Company.

The timing and manner in which the Company can utilize operating loss carryforwards in any year may be limited by provisions of the Internal Revenue Code regarding changes in ownership of corporations. Such limitations may have an impact on the ultimate realization of its carryforwards and future tax deductions.

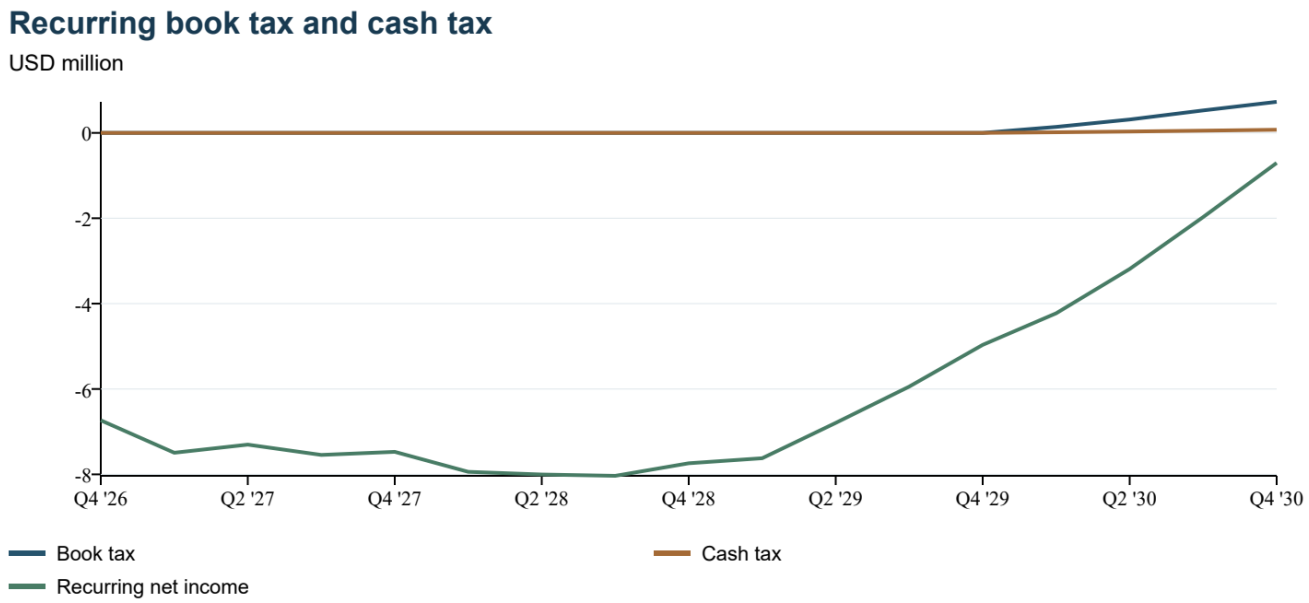
The Company follows ASC 740-10, which provides guidance for the recognition and measurement of certain tax positions in an enterprise's financial statements. Recognition involves a determination of whether it is more likely than not that a tax position will be sustained upon examination with the presumption that the tax position will be examined by the appropriate taxing authority having full knowledge of all relevant information. The adoption of ASC 740-10 did not require an adjustment to the Company's financial statements.

The Company's policy is to record interest and penalties associated with unrecognized tax benefits as additional income taxes in the statement of operations. As of January 1, 2025, the Company had no unrecognized tax benefits and no charge during 2025, and accordingly, the Company did not recognize any interest or penalties during 2025 related to unrecognized tax benefits. There is no accrual for uncertain tax positions as of December 31, 2025.

The Company files U.S. income tax returns and state income tax returns. With few exceptions, the U.S. and state income tax returns filed for the tax years ended on December 31, 2022 and thereafter are subject to examination by the relevant taxing authorities.

SEC 2025 Form 10-K, Note 9. Gross deferred-tax assets, offsetting liabilities, federal NOL vintages and ownership-change uncertainty are retained in the original source.

49. Recurring book tax and cash tax



The selected book-tax proxy and cash NOL schedule use different recognition. A valuation-allowance release is excluded from recurring earnings.

Quarter	Book tax	Cash tax	Recurring net income
Q4 2026	0.000	0.000	-6.735
Q1 2027	0.000	0.000	-7.494
Q2 2027	0.000	0.000	-7.303
Q3 2027	0.000	0.000	-7.545
Q4 2027	0.000	0.000	-7.473
Q1 2028	0.000	0.000	-7.941
Q2 2028	0.000	0.000	-8.003
Q3 2028	0.000	0.000	-8.034
Q4 2028	0.000	0.000	-7.740
Q1 2029	0.000	0.000	-7.622
Q2 2029	0.000	0.000	-6.794
Q3 2029	0.000	0.000	-5.944
Q4 2029	0.000	0.000	-4.966
Q1 2030	0.140	0.015	-4.226
Q2 2030	0.313	0.032	-3.189
Q3 2030	0.526	0.052	-1.972
Q4 2030	0.727	0.073	-0.704

50. Quarterly operating model

Quarter	Revenue	Cash COGS	Book R&D	Book G&A	OP	Recurring NI
Q4 2026	0.113	0.003	4.166	3.454	-7.511	-6.735
Q1 2027	0.181	0.003	4.667	3.730	-8.220	-7.494
Q2 2027	0.100	0.002	4.513	3.545	-7.960	-7.303
Q3 2027	0.200	0.085	4.627	3.632	-8.144	-7.545
Q4 2027	0.276	0.128	4.585	3.562	-7.999	-7.473
Q1 2028	0.785	0.265	5.042	3.884	-8.406	-7.941
Q2 2028	1.115	0.367	5.168	3.982	-8.401	-8.003
Q3 2028	1.568	0.560	5.293	4.081	-8.366	-8.034
Q4 2028	2.428	0.827	5.419	4.190	-8.007	-7.740
Q1 2029	3.669	1.160	5.853	4.481	-7.824	-7.622
Q2 2029	4.858	1.511	5.986	4.598	-7.237	-6.794
Q3 2029	6.163	1.934	5.980	4.578	-6.329	-5.944
Q4 2029	7.997	2.475	6.114	4.708	-5.300	-4.966
Q1 2030	9.893	2.921	6.329	5.018	-4.375	-4.226
Q2 2030	11.899	3.487	6.467	5.153	-3.209	-3.189
Q3 2030	14.108	4.110	6.530	5.218	-1.750	-1.972
Q4 2030	16.500	4.785	6.668	5.360	-0.314	-0.704

51. Accepted and processed volume

Quarter	Accepted units	Gross processed	Material revenue	Unit IP	License top-up	NRE / milestone
Q4 2026	0.000	0.000	0.000	0.000	0.033	0.080
Q1 2027	0.000	0.000	0.000	0.000	0.033	0.148
Q2 2027	0.000	0.000	0.000	0.000	0.022	0.078
Q3 2027	0.048	0.069	0.029	0.043	0.000	0.128
Q4 2027	0.132	0.189	0.079	0.119	0.000	0.078
Q1 2028	0.440	0.550	0.264	0.396	0.000	0.125
Q2 2028	0.660	0.825	0.396	0.594	0.000	0.125
Q3 2028	0.962	1.203	0.577	0.866	0.000	0.125
Q4 2028	1.535	1.919	0.921	1.382	0.000	0.125
Q1 2029	2.365	2.782	1.419	2.128	0.000	0.122
Q2 2029	3.157	3.715	1.894	2.842	0.000	0.122
Q3 2029	4.028	4.738	2.417	3.625	0.000	0.122
Q4 2029	5.250	6.176	3.150	4.725	0.000	0.122
Q1 2030	6.545	7.272	3.927	5.891	0.000	0.075
Q2 2030	7.883	8.758	4.729	7.094	0.000	0.075
Q3 2030	9.355	10.394	5.613	8.420	0.000	0.075
Q4 2030	10.950	12.167	6.570	9.855	0.000	0.075

52. Selected production and expense bridge

Quarter	Material cost	Cash COGS	Cash R&D	Cash G&A	SBC	D&A
Q4 2026	0.000	0.003	3.000	2.602	1.494	0.524
Q1 2027	0.000	0.003	3.400	2.804	1.625	0.568
Q2 2027	0.000	0.002	3.400	2.802	1.239	0.617
Q3 2027	0.021	0.085	3.400	2.804	1.390	0.665
Q4 2027	0.057	0.128	3.400	2.806	1.227	0.714
Q1 2028	0.165	0.265	3.740	3.040	1.384	0.763
Q2 2028	0.247	0.367	3.740	3.046	1.542	0.821
Q3 2028	0.361	0.560	3.740	3.055	1.701	0.879
Q4 2028	0.576	0.827	3.740	3.073	1.859	0.937
Q1 2029	0.835	1.160	4.114	3.339	1.886	0.995
Q2 2029	1.114	1.511	4.114	3.363	2.045	1.062
Q3 2029	1.421	1.934	4.114	3.389	1.925	1.129
Q4 2029	1.853	2.475	4.114	3.426	2.085	1.197
Q1 2030	2.182	2.921	4.525	3.725	2.246	0.851
Q2 2030	2.627	3.487	4.525	3.765	2.407	0.922
Q3 2030	3.118	4.110	4.525	3.809	2.419	0.994
Q4 2030	3.650	4.785	4.525	3.857	2.580	1.066

53. Free cash flow and subsequent cash uses

Conventional FCF equals operating cash flow less PPE capex. Deduct capitalized patent spending and equity withholding to obtain cash flow before securities and equity.

Quarter	CFO	PPE capex	FCF	Patent capex	Withholding	Net pre-funding cash flow
Q4 2026	-4.783	0.750	-5.533	0.123	0.134	-5.789
Q1 2027	-5.384	0.850	-6.234	0.123	1.518	-7.875
Q2 2027	-5.417	0.850	-6.267	0.123	0.230	-6.620
Q3 2027	-5.575	0.850	-6.425	0.123	1.743	-8.291
Q4 2027	-5.617	0.850	-6.467	0.123	0.359	-6.949
Q1 2028	-6.187	1.038	-7.225	0.123	0.408	-7.755
Q2 2028	-5.902	1.038	-6.939	0.123	0.456	-7.518
Q3 2028	-5.814	1.038	-6.851	0.123	0.504	-7.478
Q4 2028	-5.625	1.038	-6.663	0.123	0.553	-7.338
Q1 2029	-5.698	1.225	-6.923	0.123	0.601	-7.647
Q2 2029	-4.620	1.225	-5.845	0.123	0.649	-6.617
Q3 2029	-3.913	1.225	-5.138	0.123	0.564	-5.825
Q4 2029	-3.123	1.225	-4.348	0.123	0.612	-5.083
Q1 2030	-2.432	1.312	-3.745	0.123	0.661	-4.528
Q2 2030	-1.138	1.312	-2.450	0.123	0.709	-3.282
Q3 2030	0.197	1.312	-1.116	0.123	0.758	-1.996
Q4 2030	1.735	1.312	0.422	0.123	0.774	-0.475

54. Cash, securities and equity reconciliation

Opening cash plus pre-funding cash flow plus securities redeemed plus net equity proceeds equals closing cash. Redeemed securities reduce the securities balance by the same amount.

Quarter	Opening cash	Net pre-funding cash flow	Securities redeemed	Net equity	Closing cash	Closing securities
Q4 2026	40.040	-5.789	0.000	0.000	34.250	48.702
Q1 2027	34.250	-7.875	0.000	0.000	26.375	48.702
Q2 2027	26.375	-6.620	0.000	0.000	19.756	48.702
Q3 2027	19.756	-8.291	0.000	0.000	11.465	48.702
Q4 2027	11.465	-6.949	0.484	0.000	5.000	48.218
Q1 2028	5.000	-7.755	7.755	0.000	5.000	40.463
Q2 2028	5.000	-7.518	7.518	0.000	5.000	32.945
Q3 2028	5.000	-7.478	7.478	0.000	5.000	25.467
Q4 2028	5.000	-7.338	7.338	0.000	5.000	18.129
Q1 2029	5.000	-7.647	7.647	35.108	40.108	10.481
Q2 2029	40.108	-6.617	0.000	0.000	33.491	10.481
Q3 2029	33.491	-5.825	0.000	0.000	27.666	10.481
Q4 2029	27.666	-5.083	0.000	0.000	22.583	10.481
Q1 2030	22.583	-4.528	0.000	9.554	27.609	10.481
Q2 2030	27.609	-3.282	0.000	0.000	24.327	10.481
Q3 2030	24.327	-1.996	0.000	5.697	28.028	10.481
Q4 2030	28.028	-0.475	0.000	0.000	27.553	10.481

55. Working capital and deferred revenue

Quarter	Receivables	Inventory	Payables	Contract liability	NWC	NWC change
Q4 2026	0.049	0.000	0.445	0.060	0.886	0.067
Q1 2027	0.097	0.000	0.445	0.025	0.970	0.084
Q2 2027	0.067	0.000	0.445	0.025	0.939	-0.031
Q3 2027	0.117	0.021	0.456	0.000	1.024	0.085
Q4 2027	0.184	0.057	0.474	0.000	1.110	0.085
Q1 2028	0.523	0.165	0.528	0.000	1.503	0.393
Q2 2028	0.743	0.247	0.569	0.000	1.764	0.261
Q3 2028	1.045	0.361	0.626	0.000	2.123	0.359
Q4 2028	1.619	0.576	0.733	0.000	2.804	0.681
Q1 2029	2.446	0.835	0.863	0.000	3.761	0.957
Q2 2029	3.239	1.114	1.003	0.000	4.693	0.932
Q3 2029	4.109	1.421	1.156	0.000	5.717	1.024
Q4 2029	5.331	1.853	1.372	0.000	7.155	1.438
Q1 2030	6.595	2.182	1.536	0.000	8.583	1.428
Q2 2030	7.933	2.627	1.759	0.000	10.144	1.560
Q3 2030	9.405	3.118	2.005	0.000	11.862	1.718
Q4 2030	11.000	3.650	2.270	0.000	13.722	1.861

56. Share and funding reconciliation

Quarter	Common end	RSUs granted	RSUs vested	Withheld	Financing shares	RSUs unvested	Economic diluted
Q4 2026	154.618	0.065	0.111	0.031	0.000	2.713	157.893
Q1 2027	155.025	0.600	0.759	0.353	0.000	2.553	158.140
Q2 2027	155.157	0.600	0.186	0.054	0.000	2.967	158.687
Q3 2027	155.683	0.600	0.931	0.405	0.000	2.636	158.881
Q4 2027	155.883	0.600	0.283	0.084	0.000	2.953	159.398
Q1 2028	156.109	0.600	0.321	0.095	0.000	3.232	159.903
Q2 2028	156.361	0.600	0.358	0.106	0.000	3.474	160.397
Q3 2028	156.639	0.600	0.396	0.117	0.000	3.678	160.880
Q4 2028	156.944	0.600	0.433	0.129	0.000	3.845	161.351
Q1 2029	181.324	0.600	0.471	0.140	24.049	3.974	185.860
Q2 2029	181.681	0.600	0.508	0.151	0.000	4.066	186.309
Q3 2029	181.992	0.600	0.442	0.131	0.000	4.224	186.778
Q4 2029	182.324	0.600	0.475	0.142	0.000	4.349	187.235
Q1 2030	189.227	0.600	0.512	0.154	6.545	4.437	194.226
Q2 2030	189.612	0.600	0.550	0.165	0.000	4.487	194.662
Q3 2030	193.925	0.600	0.587	0.176	3.902	4.500	198.988
Q4 2030	194.345	0.600	0.600	0.180	0.000	4.500	199.408

57. Book and cash tax reconciliation

Quarter	Pretax	SBC add-back	Vest deduction	Taxable pre-NOL	Old NOL used	New NOL used	Cash tax
Q4 2026	-6.735	1.494	0.475	-5.716	0.000	0.000	0.000
Q1 2027	-7.494	1.625	3.266	-9.134	0.000	0.000	0.000
Q2 2027	-7.303	1.239	0.801	-6.865	0.000	0.000	0.000
Q3 2027	-7.545	1.390	4.003	-10.158	0.000	0.000	0.000
Q4 2027	-7.473	1.227	1.218	-7.463	0.000	0.000	0.000
Q1 2028	-7.941	1.384	1.379	-7.935	0.000	0.000	0.000
Q2 2028	-8.003	1.542	1.540	-8.001	0.000	0.000	0.000
Q3 2028	-8.034	1.701	1.702	-8.035	0.000	0.000	0.000
Q4 2028	-7.740	1.859	1.863	-7.744	0.000	0.000	0.000
Q1 2029	-7.622	1.886	2.024	-7.760	0.000	0.000	0.000
Q2 2029	-6.794	2.045	2.185	-6.935	0.000	0.000	0.000
Q3 2029	-5.944	1.925	1.901	-5.919	0.000	0.000	0.000
Q4 2029	-4.966	2.085	2.042	-4.923	0.000	0.000	0.000
Q1 2030	-4.086	2.246	2.203	-4.043	0.617	0.000	0.015
Q2 2030	-2.875	2.407	2.364	-2.832	1.359	0.000	0.032
Q3 2030	-1.446	2.419	2.525	-1.552	2.211	0.000	0.052
Q4 2030	0.023	2.580	2.580	0.023	3.113	0.000	0.073

58. Liquidity and funding constraints

Quarter	Cash	Securities	Liquidity	Issue capacity	Buffer gap	Operating gap
Q4 2026	34.250	48.702	82.952	86.627	0.000	0.000
Q1 2027	26.375	48.702	75.077	86.380	0.000	0.000
Q2 2027	19.756	48.702	68.457	85.833	0.000	0.000
Q3 2027	11.465	48.702	60.167	85.639	0.000	0.000
Q4 2027	5.000	48.218	53.218	85.122	0.000	0.000
Q1 2028	5.000	40.463	45.463	84.617	0.000	0.000
Q2 2028	5.000	32.945	37.945	84.123	0.000	0.000
Q3 2028	5.000	25.467	30.467	83.640	0.000	0.000
Q4 2028	5.000	18.129	23.129	83.169	0.000	0.000
Q1 2029	40.108	10.481	50.589	82.709	0.000	0.000
Q2 2029	33.491	10.481	43.972	58.211	0.000	0.000
Q3 2029	27.666	10.481	38.148	57.742	0.000	0.000
Q4 2029	22.583	10.481	33.065	57.284	0.000	0.000
Q1 2030	27.609	10.481	38.091	56.838	0.000	0.000
Q2 2030	24.327	10.481	34.808	49.858	0.000	0.000
Q3 2030	28.028	10.481	38.509	49.434	0.000	0.000
Q4 2030	27.553	10.481	38.035	45.112	0.000	0.000

59. Incentive-plan capacity and future approvals

The forecast includes 0.6 million new RSUs per quarter from 2027. After the disclosed CFO and Kennedy grants, the existing plan has 2.225143 million units available. The first required expansion is 0.174857 million units in Q4 2027. Cumulative incremental approvals needed through 2030 total 7.374857 million units.

The forecast assumes timely incentive-plan renewal or expansion and the relevant approvals. These awards are contingent future compensation. The 250 million common-share authorization is a separate limit that also reserves outstanding options and RSUs. The operating model retains the associated compensation and dilution.

Capacity item	Million units
June30 available	2.687
CFO grant	0.397
Kennedy grant	0.065
Remaining plan units	2.225
First Q4 2027 shortfall	0.175
Incremental approvals through2030	7.375

60. Sensitivity results with feasible funding

Each row changes the named control within the same model. All dependent operating, tax, cash and share calculations are recomputed. The active column is Q4 2027; the last complete window is Q1 2030 through Q4 2030.

Changed control	Active ceiling	Q1 2030 ceiling	Min liquidity	First on-time EPS
wallet 0 50	0.058349	0.507310	20.458	None in model
wallet 3 00	0.264814	4.639256	22.182	Q4 2028
accepted volume half	0.078996	0.831997	20.353	None in model
accepted volume double	0.264814	3.564697	21.951	Q1 2029
gross option dilution	0.136251	1.077749	21.891	Q3 2029
no opening NOL	0.140935	1.109210	21.891	Q3 2029
book tax 30pct state 5pct	0.140935	1.055811	21.891	Q3 2029
state cash tax zero	0.140935	1.109539	21.891	Q3 2029
all cohorts four quarters later	0.019767	0.676030	20.290	None in model
joint probabilities 50 30 20	0.172550	1.193137	21.891	Q3 2029
joint probabilities 25 35 40	0.092053	0.881422	21.891	Q3 2029

61. Funding stress failures

These stress cases fail at least one financing or authorization condition. Their mechanically calculated valuations are excluded from the funded sensitivity table. The buffer gap measures requested net funding less actual net equity proceeds, including the selected reserve. The operating gap measures the cash needed for current operations. Authorization headroom is shown separately in million shares.

Stress	Min liquidity	Max buffer gap	Max operating gap	Min authorization headroom	Max buffer quarter
Cash budgets +25%	20.451	17.860	0.000	-0.420	Q3 2030
No future equity	0.000	68.568	9.714	79.608	Q2 2030
Half issue price	9.702	48.321	0.000	-1.279	Q4 2030

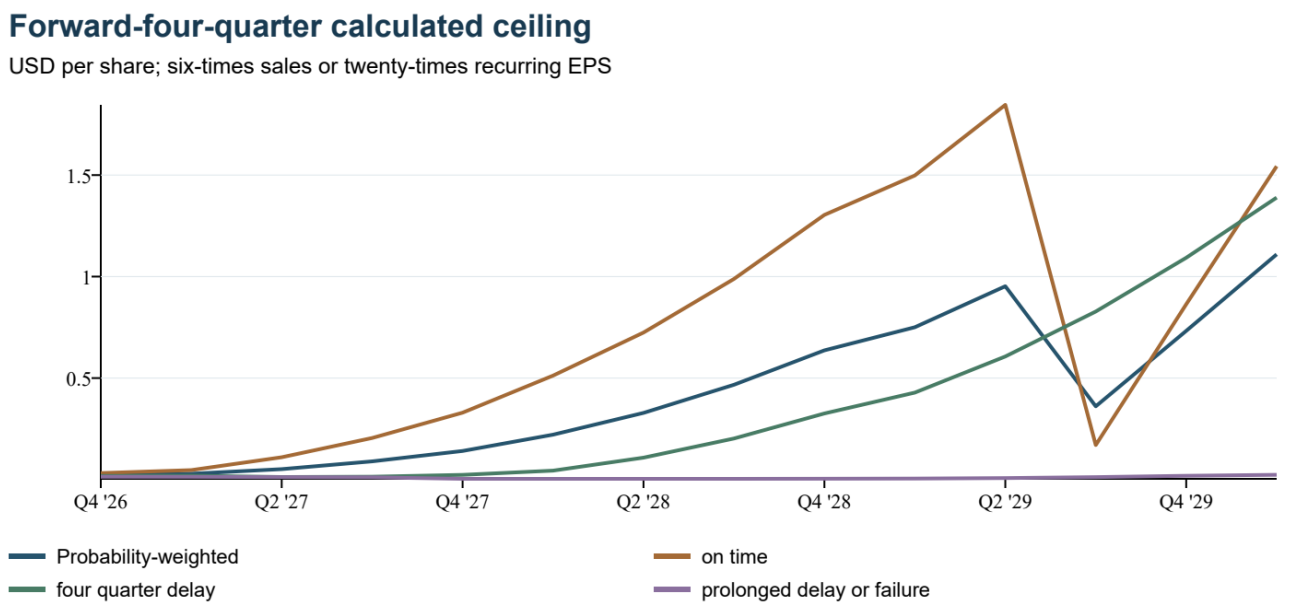
62. Forward revenue and the earnings handoff

The owner-selected method values the equity of an FCF-negative company at six times forward-four-quarter revenue, divided by the selected economic diluted share count. It has no separate cash add-on. Cash and marketable securities remain part of the funding and operating-runway bridge.

The method changes to twenty times forward diluted recurring EPS in the first complete selected path window where both forward-four-quarter free cash flow and recurring net income are positive. The EPS calculation sums each quarter's recurring net income divided by that quarter's economic diluted weighted-average shares. Each path retains its own handoff date and valuation before the probability-weighted result is calculated.

The tables show every exact four-quarter window, method, revenue or recurring EPS, free-cash-flow test, diluted share count and per-share result. The method switch can lower a calculated ceiling when profitability first becomes positive; that result will be shown directly.

63. Forward-four-quarter calculated ceiling



Each conditional path applies its own profitability tests and method before weighting. The method handoff can produce a lower value even when profit turns positive.

Quarter	Probability-weighted	on time	four quarter delay	prolonged delay or failure
Q4 2026	0.022561	0.032009	0.018044	0.013769
Q1 2027	0.028725	0.046652	0.019144	0.013453
Q2 2027	0.051468	0.110003	0.012641	0.012169
Q3 2027	0.089737	0.204870	0.014162	0.011329
Q4 2027	0.140935	0.329647	0.023244	0.003764
Q1 2028	0.221244	0.512186	0.044089	0.003752
Q2 2028	0.328459	0.724297	0.108013	0.003741
Q3 2028	0.467073	0.988317	0.202325	0.003729
Q4 2028	0.636583	1.303834	0.325656	0.004276
Q1 2029	0.750459	1.498068	0.428472	0.005065
Q2 2029	0.952461	1.845948	0.606362	0.007421
Q3 2029	0.360851	0.170174	0.827856	0.012128
Q4 2029	0.732555	0.863549	1.092745	0.018698
Q1 2030	1.109421	1.543435	1.389104	0.023443

64. Exact weighted forward-four-quarter valuation

The weighted row describes the conditional model. The ceiling is the weighted sum of each path's correctly selected value; division of weighted revenue or income by weighted shares would produce a different result. Full path-level derivations follow.

Ceiling quarter	Window	F4 revenue	F4 FCF	F4 EPS	EPS weight	Ceiling
Q4 2026	Q4 2026 to Q3 2027	0.594	-24.459	-0.18370	0.0%	0.022561
Q1 2027	Q1 2027 to Q4 2027	0.757	-25.393	-0.18800	0.0%	0.028725
Q2 2027	Q2 2027 to Q1 2028	1.361	-26.383	-0.19031	0.0%	0.051468
Q3 2027	Q3 2027 to Q2 2028	2.376	-27.056	-0.19418	0.0%	0.089737
Q4 2027	Q4 2027 to Q3 2028	3.744	-27.482	-0.19668	0.0%	0.140935
Q1 2028	Q1 2028 to Q4 2028	5.896	-27.678	-0.19777	0.0%	0.221244
Q2 2028	Q2 2028 to Q1 2029	8.781	-27.377	-0.19520	0.0%	0.328459
Q3 2028	Q3 2028 to Q2 2029	12.524	-26.282	-0.18135	0.0%	0.467073
Q4 2028	Q4 2028 to Q3 2029	17.119	-24.569	-0.16271	0.0%	0.636583
Q1 2029	Q1 2029 to Q4 2029	22.688	-22.254	-0.14064	0.0%	0.750459
Q2 2029	Q2 2029 to Q1 2030	28.911	-19.075	-0.11535	0.0%	0.952461
Q3 2029	Q3 2029 to Q2 2030	35.951	-15.681	-0.09381	40.0%	0.360851
Q4 2029	Q4 2029 to Q3 2030	43.896	-11.658	-0.07045	40.0%	0.732555
Q1 2030	Q1 2030 to Q4 2030	52.399	-6.888	-0.04560	40.0%	1.109421

65. Path derivation: on time

This complete conditional path has probability 40%. Revenue-phase value equals six times forward revenue divided by the ceiling-quarter end economic diluted shares. EPS-phase value equals twenty times the sum of four quarterly recurring diluted EPS values.

Quarter	F4 revenue	F4 FCF	F4 NI	F4 EPS	Method	End shares	Ceiling
Q4 2026	0.842	-24.897	-28.985	-0.18312	6x sales	157.893	0.032009
Q1 2027	1.230	-26.027	-29.723	-0.18742	6x sales	158.140	0.046652
Q2 2027	2.909	-27.050	-29.548	-0.18584	6x sales	158.687	0.110003
Q3 2027	5.425	-27.239	-29.367	-0.18421	6x sales	158.881	0.204870
Q4 2027	8.758	-26.704	-28.501	-0.17827	6x sales	159.398	0.329647
Q1 2028	13.650	-25.685	-26.897	-0.16775	6x sales	159.903	0.512186
Q2 2028	19.363	-23.499	-24.618	-0.15309	6x sales	160.397	0.724297
Q3 2028	26.500	-20.581	-21.128	-0.12892	6x sales	160.880	0.988317
Q4 2028	35.062	-16.648	-16.359	-0.09795	6x sales	161.351	1.303834
Q1 2029	44.675	-11.634	-10.823	-0.06345	6x sales	178.930	1.498068
Q2 2029	55.188	-5.464	-4.611	-0.02575	6x sales	179.379	1.845948
Q3 2029	66.450	1.108	1.553	0.00851	20x EPS	179.848	0.170174
Q4 2029	78.688	8.224	7.822	0.04318	20x EPS	180.306	0.863549
Q1 2030	91.375	16.112	14.001	0.07717	20x EPS	180.752	1.543435

66. Path derivation: four quarter delay

This complete conditional path has probability 35%. Revenue-phase value equals six times forward revenue divided by the ceiling-quarter end economic diluted shares. EPS-phase value equals twenty times the sum of four quarterly recurring diluted EPS values.

Quarter	F4 revenue	F4 FCF	F4 NI	F4 EPS	Method	End shares	Ceiling
Q4 2026	0.475	-24.103	-29.091	-0.18379	6x sales	157.893	0.018044
Q1 2027	0.505	-24.917	-29.813	-0.18799	6x sales	158.140	0.019144
Q2 2027	0.334	-25.984	-30.730	-0.19325	6x sales	158.687	0.012641
Q3 2027	0.375	-27.086	-31.998	-0.20067	6x sales	158.881	0.014162
Q4 2027	0.618	-28.292	-33.307	-0.20827	6x sales	159.398	0.023244
Q1 2028	1.175	-29.379	-34.740	-0.21658	6x sales	159.903	0.044089
Q2 2028	2.888	-30.385	-35.318	-0.21954	6x sales	160.397	0.108013
Q3 2028	5.425	-30.206	-34.982	-0.20904	6x sales	160.880	0.202325
Q4 2028	8.758	-29.305	-33.684	-0.19327	6x sales	161.351	0.325656
Q1 2029	13.650	-27.923	-31.318	-0.17195	6x sales	191.144	0.428472
Q2 2029	19.363	-25.364	-28.118	-0.14646	6x sales	191.593	0.606362
Q3 2029	26.500	-22.643	-24.279	-0.12618	6x sales	192.062	0.827856
Q4 2029	35.062	-18.890	-19.554	-0.10141	6x sales	192.520	1.092745
Q1 2030	44.675	-13.909	-13.912	-0.07176	6x sales	192.966	1.389104

67. Path derivation: prolonged delay or failure

This complete conditional path has probability 25%. Revenue-phase value equals six times forward revenue divided by the ceiling-quarter end economic diluted shares. EPS-phase value equals twenty times the sum of four quarterly recurring diluted EPS values.

Quarter	F4 revenue	F4 FCF	F4 NI	F4 EPS	Method	End shares	Ceiling
Q4 2026	0.362	-24.256	-29.202	-0.18450	6x sales	157.893	0.013769
Q1 2027	0.355	-25.042	-29.963	-0.18894	6x sales	158.140	0.013453
Q2 2027	0.322	-25.875	-30.746	-0.19335	6x sales	158.687	0.012169
Q3 2027	0.300	-26.721	-32.062	-0.20106	6x sales	158.881	0.011329
Q4 2027	0.100	-27.592	-33.571	-0.20992	6x sales	159.398	0.003764
Q1 2028	0.100	-28.484	-35.203	-0.21946	6x sales	159.903	0.003752
Q2 2028	0.100	-29.370	-36.765	-0.22850	6x sales	160.397	0.003741
Q3 2028	0.100	-29.912	-37.983	-0.22647	6x sales	160.880	0.003729
Q4 2028	0.115	-30.611	-39.070	-0.22354	6x sales	161.351	0.004276
Q1 2029	0.160	-31.308	-40.144	-0.22030	6x sales	189.549	0.005065
Q2 2029	0.235	-32.047	-40.981	-0.21515	6x sales	189.998	0.007421
Q3 2029	0.385	-32.795	-41.795	-0.21219	6x sales	190.467	0.012128
Q4 2029	0.595	-33.347	-42.554	-0.20892	6x sales	190.925	0.018698
Q1 2030	0.850	-33.861	-43.290	-0.20540	6x sales	217.550	0.023443

68. Rule 16b evidence and shared probability treatment

Evidence	Selected treatment	Operating transmission
September device eye and June reliability tests	40% / 35% / 25% joint timing	Qualification evidence informs the shared accepted-unit paths; cost/yield and delays remain explicit.
Five Stage 3 programs	Five fixed slots; C/D ramp conditionally; E zero through2030	Only the selected cohort units earn material/IP revenue.
Tower/GF/SilTerra enablement	Shared qualification and backend timing	Foundry routes support those same customer units.
October Hon Hai demonstration	Inside an existing slot	No extra customer units are added for the named disclosure.
Existing license and planned second agreement	Contract floor expires May2027; future prices remain low-confidence	IP receipt is max(active floor, unit IP), with separate materials and NRE.
Competitive organic and inorganic platforms	25% prolonged outcome plus capture sensitivities	Lower or delayed accepted units transmit through sales, cash consumption and financing.

69. Quarterly probability-weighted operating contribution

These are the active contributions of the selected overlapping programs. Each source supports the joint path; summing a separate incremental value for every announcement would double-count the same devices.

Quarter	Accepted units	Material receipts	Unit IP	License top-up	NRE / milestone	Revenue
Q4 2026	0.000	0.000	0.000	0.033	0.080	0.113
Q1 2027	0.000	0.000	0.000	0.033	0.148	0.181
Q2 2027	0.000	0.000	0.000	0.022	0.078	0.100
Q3 2027	0.048	0.029	0.043	0.000	0.128	0.200
Q4 2027	0.132	0.079	0.119	0.000	0.078	0.276
Q1 2028	0.440	0.264	0.396	0.000	0.125	0.785
Q2 2028	0.660	0.396	0.594	0.000	0.125	1.115
Q3 2028	0.962	0.577	0.866	0.000	0.125	1.568
Q4 2028	1.535	0.921	1.382	0.000	0.125	2.428
Q1 2029	2.365	1.419	2.128	0.000	0.122	3.669
Q2 2029	3.157	1.894	2.842	0.000	0.122	4.858
Q3 2029	4.028	2.417	3.625	0.000	0.122	6.163
Q4 2029	5.250	3.150	4.725	0.000	0.122	7.997
Q1 2030	6.545	3.927	5.891	0.000	0.075	9.893
Q2 2030	7.883	4.729	7.094	0.000	0.075	11.899
Q3 2030	9.355	5.613	8.420	0.000	0.075	14.108
Q4 2030	10.950	6.570	9.855	0.000	0.075	16.500

70. The profitability handoff and its valuation effect

In the on-time path, the first complete window satisfying both positive forward FCF and positive recurring net income begins in Q3 2029. The four-quarter window extends through Q2 2030. The other selected paths retain six-times-sales throughout the complete windows available in this model.

The on-time calculated value moves from USD 1.845948 in Q2 2029 under six-times-sales to USD 0.170174 in Q3 2029 under twenty-times recurring EPS. This is the direct effect of the sanctioned method at early profitability; the calculation retains the step. The probability-weighted ceiling consequently changes from USD 0.952461 to USD 0.360851.

71. Conditional operating and funding path: on time

The first row is a current reconstruction of unpublished Q3 financials. All later rows are forecasts under this one conditional path.

Quarter	Revenue	OP	FCF	Net equity	Liquidity	Diluted shares
Q3 2026 reconstruction	0.033	-8.856	-5.288	0.000	88.742	157.860
Q4 2026	0.233	-7.393	-5.515	0.000	82.970	157.893
Q1 2027	0.158	-8.242	-6.339	0.000	74.989	158.140
Q2 2027	0.147	-7.922	-6.395	0.000	68.241	158.687
Q3 2027	0.305	-8.183	-6.647	0.000	59.728	158.881
Q4 2027	0.620	-7.877	-6.646	0.000	52.600	159.398
Q1 2028	1.838	-7.802	-7.362	0.000	44.709	159.903
Q2 2028	2.662	-7.475	-6.584	0.000	37.546	160.397
Q3 2028	3.638	-7.049	-6.112	0.000	30.807	160.880
Q4 2028	5.512	-6.020	-5.627	0.000	24.504	161.351
Q1 2029	7.550	-5.276	-5.175	24.991	43.596	178.930
Q2 2029	9.800	-3.976	-3.666	0.000	39.158	179.379
Q3 2029	12.200	-2.294	-2.179	0.000	36.292	179.848
Q4 2029	15.125	-0.532	-0.613	0.000	34.943	180.306
Q1 2030	18.062	1.194	0.994	0.000	35.154	180.752
Q2 2030	21.062	3.045	2.906	0.000	37.228	181.187
Q3 2030	24.438	5.308	4.937	0.000	41.285	181.611
Q4 2030	27.812	7.421	7.275	0.000	47.663	182.031

72. Conditional operating and funding path: four quarter delay

The first row is a current reconstruction of unpublished Q3 financials. All later rows are forecasts under this one conditional path.

Quarter	Revenue	OP	FCF	Net equity	Liquidity	Diluted shares
Q3 2026 reconstruction	0.033	-8.856	-5.288	0.000	88.742	157.860
Q4 2026	0.033	-7.589	-5.545	0.000	82.941	157.893
Q1 2027	0.295	-8.107	-6.147	0.000	75.153	158.140
Q2 2027	0.084	-7.971	-6.138	0.000	68.662	158.687
Q3 2027	0.062	-8.184	-6.273	0.000	60.523	158.881
Q4 2027	0.062	-8.065	-6.359	0.000	53.682	159.398
Q1 2028	0.125	-8.768	-7.213	0.000	45.938	159.903
Q2 2028	0.125	-8.982	-7.240	0.000	38.120	160.397
Q3 2028	0.305	-9.226	-7.480	0.000	30.013	160.880
Q4 2028	0.620	-9.230	-7.447	0.000	21.891	161.351
Q1 2029	1.838	-9.069	-8.219	42.822	55.770	191.144
Q2 2029	2.662	-8.732	-7.061	0.000	47.937	191.593
Q3 2029	3.638	-8.014	-6.579	0.000	40.672	192.062
Q4 2029	5.512	-6.958	-6.065	0.000	33.871	192.520
Q1 2030	7.550	-5.973	-5.660	0.000	27.428	192.966
Q2 2030	9.800	-4.646	-4.339	0.000	22.257	193.401
Q3 2030	12.200	-3.063	-2.826	16.276	34.827	204.974
Q4 2030	15.125	-1.265	-1.084	0.000	32.846	205.394

73. Conditional operating and funding path: prolonged delay or failure

The first row is a current reconstruction of unpublished Q3 financials. All later rows are forecasts under this one conditional path.

Quarter	Revenue	OP	FCF	Net equity	Liquidity	Diluted shares
Q3 2026 reconstruction	0.033	-8.856	-5.288	0.000	88.742	157.860
Q4 2026	0.033	-7.589	-5.545	0.000	82.941	157.893
Q1 2027	0.058	-8.340	-6.188	0.000	75.112	158.140
Q2 2027	0.047	-8.007	-6.242	0.000	68.517	158.687
Q3 2027	0.225	-8.025	-6.282	0.000	60.369	158.881
Q4 2027	0.025	-8.102	-6.331	0.000	53.557	159.398
Q1 2028	0.025	-8.866	-7.021	0.000	46.005	159.903
Q2 2028	0.025	-9.068	-7.087	0.000	38.340	160.397
Q3 2028	0.025	-9.270	-7.154	0.000	30.559	160.880
Q4 2028	0.025	-9.472	-7.222	0.000	22.661	161.351
Q1 2029	0.025	-10.158	-7.907	40.493	54.524	189.549
Q2 2029	0.025	-10.361	-7.628	0.000	46.123	189.998
Q3 2029	0.040	-10.425	-7.853	0.000	37.583	190.467
Q4 2029	0.070	-10.608	-7.919	0.000	28.929	190.925
Q1 2030	0.100	-11.050	-8.646	38.218	57.717	217.550
Q2 2030	0.175	-11.203	-8.377	0.000	48.508	217.985
Q3 2030	0.250	-11.205	-8.405	0.000	39.223	218.409
Q4 2030	0.325	-11.358	-8.434	0.000	29.892	218.829

74. Dated tests and thesis counters

Test	Evidence to watch	Model implication
Nov10 Q3 results	Cash, operating expense, award roll-forward and contract recognition	Reconcile the unreported-quarter bridge and the starting runway.
Qualification and product evidence	Foundry-specific reliability, package tests and accepted customer designs	Revisit shared timing probabilities and accepted units.
Commercial agreements	Material/license prices, minimums, NRE scope and binding volumes	Replace selected unit-wallet and fee proxies with agreed economics.
Backend scale	Qualified throughput, yield, encapsulation and external processing	Update gross processing, unit costs, capex and support expense.
Competitive allocation	Program shifts to polymer alternatives, InP or TFLN	Adjust capture and prolonged-outcome probability.
Financing execution	Offer terms, share count, cash fees and authorization	Replace conditional funding and dilution assumptions.

75. Cross-book links

Tower and GlobalFoundries are foundry routes whose development and manufacturing timelines can affect Lightwave Logic qualification. Marvell and Hon Hai are customer-ecosystem links whose device architecture and program allocation can affect material demand. The economic scope of each company remains tied to its own products and contracts.

76. Primary financial source register

Document	Original source URL
April_2026_ATM_424B5.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000512/lwlg_424b5.htm
August_2026_investor_presentation.pdf	https://irp.cdn-website.com/a5f8ef96/files/uploaded/Lightwave+Logic+Investor+Presentation+-+DARK+-+August+2026+Vf.pdf
CEO_Form4_20260914.xml	https://www.sec.gov/Archives/edgar/data/1325964/000107997326001255/ownership.xml
CFO_appointment_20260720_8K.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000955/lwlg_8k.htm
CFO_employment_agreement_20260720.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000955/ex10x1.htm
CFO_Form4_20260728.xml	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000977/ownership.xml
DEF14A_20260410.html	https://www.sec.gov/Archives/edgar/data/1325964/000155335026000061/lwlg_def14a.htm
Director_Form4_20261028.xml	https://www.sec.gov/Archives/edgar/data/1325964/000107997326001407/ownership.xml
FY2025_10K.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000348/lwlg_10k-123125.htm
FY2025_annual_report.pdf	https://www.sec.gov/Archives/edgar/data/1325964/000155335026000063/lwlg_ars.pdf
issuer_events.html	https://www.lightwavelogic.com/events-presentations
issuer_home.html	https://www.lightwavelogic.com/
issuer_investors.html	https://www.lightwavelogic.com/investors-overview
issuer_media.html	https://www.lightwavelogic.com/media-presentations
June2026_shelf_S3ASR.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000833/lwlg_s3.htm
May2026_shelf_S3ASR.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326000626/lwlg_s3ars.htm
Q1_2026_10Q.html	https://www.sec.gov/Archives/edgar/data/1325964/000155335026000087/lwlg_10q-033126.htm
Q1_2026_call_presentation.pdf	https://irp.cdn-website.com/a5f8ef96/files/uploaded/Lightwave+Logic+Q1+2026+Financial+Results+and+Business+Update.pdf
Q1_2026_call_transcript.pdf	https://irp.cdn-website.com/a5f8ef96/files/uploaded/Final+Transcript+-+LWLG+Q1+2026+Financial+Results+and+Business+Update.pdf
Q2_2026_10Q.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326001097/lwlg_10q-063026.htm
Q2_2026_call_presentation.pdf	https://irp.cdn-website.com/a5f8ef96/files/uploaded/LWLG+Q2+Financial+-+Business+Update+Slides+v3.pdf
Q2_2026_call_transcript.pdf	https://irp.cdn-website.com/a5f8ef96/files/uploaded/Lightwave+Logic+q2+Call+transcript.pdf
Q3_2026_timing_notice_20261026.html	https://www.accessnewswire.com/newsroom/en/industrial-and-manufacturing/lightwave-logic-inc.-announces-timing-of-third-quarter-2026-financial-1241715
September_2026_8K.html	https://www.sec.gov/Archives/edgar/data/1325964/000107997326001303/lwlg_8k.htm

Document	Original source URL
USC26_section172.html	https://uscode.house.gov/us/usc/119-120/t26/s172/
USC26_section382.html	https://uscode.house.gov/us/usc/119-120/t26/s382/

77. Primary technology source register

Evidence	Date	Original source URL
tower	2026-03-11	https://www.newswire.com/news/lightwave-logic-and-tower-semiconductor-announce-development-agreement-to
gf	2026-03-16	https://www.nasdaq.com/press-release/lightwave-logic-high-speed-modulator-platform-now-available-gds-factory-pdk
silterra	2026-03-03	https://www.lightwavelogic.com/press-releases/silterra-silicon-photonics-platform-enables-integration-of-lightwave-logic-high-speed-polymer-modulators-through-luceda-photonics-pdk
pdk11	2026-05-07	https://markets.financialcontent.com/lightport.lightport3/article/accwirecq-2026-5-7-lightwave-logic-announces-availability-of-version-11-of-its-polymer-photonics-pdk-advancing-process-integration-and-foundry-transfer
foxconn	2026-10-29T22:00:00-04:00	https://www.nasdaq.com/press-release/lightwave-logic-inc-electro-optic-polymer-technology-integrated-hon-hai-technology
marvell	2026-04-22	https://www.marvell.com/company/newsroom/marvell-acquires-polariton-advancing-future-of-optical-connectivity.html
polariton	2025-03-10	https://www.polariton.ch/wp-content/uploads/2025/03/PR-Lightwave-Logic-and-Polariton-Announce-Advancement-of-Collaboration.pdf
device_demo	2026-09-22	https://irp.cdn-website.com/a5f8ef96/files/uploaded/ECOC+2026+Product+Focus+Robert+Blum+Lightwave+Logic.pdf
reliability	2026-06-16	https://irp.cdn-website.com/a5f8ef96/files/uploaded/LWLG_OIP2026_Manoj+Manjare+June+16+2026.pdf
market	2026-08	https://irp.cdn-website.com/a5f8ef96/files/uploaded/Lightwave+Logic+Investor+Presentation+-+DARK+-+August+2026+Vf.pdf
competition_nlm_tower	2026-03-16	https://www.nlmphotonics.com/zh-hant/2026/03/16/nlm-validates-silicon-organic-hybrid-modulator-technology-with-tower-semiconductors-high-volume-ph18m-platform/
competition_nlm_gf	2026-03-16	https://www.nlmphotonics.com/de/2026/03/16/nlm-samples-silicon-organic-hybrid-pics-manufactured-at-globalfoundries/
competition_inp	2026-08-11	https://towersemi.com/2026/08/11/08112026/
competition_tfln	2026-03-12	https://www.businesswire.com/news/home/20260312319685/en/
honhai_review	2026-10-15	https://hhri.honhai.com/news/670

78. Source completeness and calculation scope

The newest two issuer-hosted management-call transcripts were read through their full Q&A and operator close. Original audio was unavailable through the registered webcast pages. The June 10-Q, March 10-Q, 2025 10-K, subsequent ownership reports, financial presentations and dated technical sources are preserved with hashes.

Key remaining source gaps are contract unit rates, material usage, customer allocation, qualified throughput and yields; the detailed option strike distribution; the full post-August legal-share count; ordinary award service-cost allocations; state NOLs and company-specific Section 382 limits. Selected proxies and their sensitivities address these gaps.

Q3 2026 is an unreported-period reconstruction kept separate from published historical displays. The complete linked model preserves all conditional arrays; chart values and table rows are generated from that same model.